

REPUBLIC OF KENYA



COUNTY GOVERNMENT OF MACHAKOS

DEPARTMENT OF FINANCE, ECONOMIC PLANNING AND REVENUE MANAGEMENT

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REF: MCG/BD/2025-2026 /VOL.1 (14)



16th October, 2025

The Clerk
County Assembly of Machakos
P.O. BOX 1168 – 90100
MACHAKOS.

RE: MACHAKOS COUNTY BUDGET REVIEW OUTLOOK PAPER 2025

Reference is made to section 118 (4a) of the Public Finance Management Act, 2012 that requires County Treasury to arrange for County Budget Review and Outlook Paper to be laid before the County Assembly.

Forwarded find the County Budget Review and Outlook Paper 2025 as approved by the County Executive Committee for the County Assembly's consideration.



Hon. Catherine Mutanu Raphael

CECM - Finance, Economic Planning and Revenue Management

REPUBLIC OF KENYA



COUNTY GOVERNMENT OF MACHAKOS

COUNTY BUDGET REVIEW OUTLOOK PAPER FY 2024/2025

*CONSOLIDATING ECONOMIC GAINS TO ENHANCE SUSTAINABLE GROWTH
THROUGH SOCIO-ECONOMIC EMPOWERMENT AND INFRASTRUCTURE
DEVELOPMENT*

September, 2025

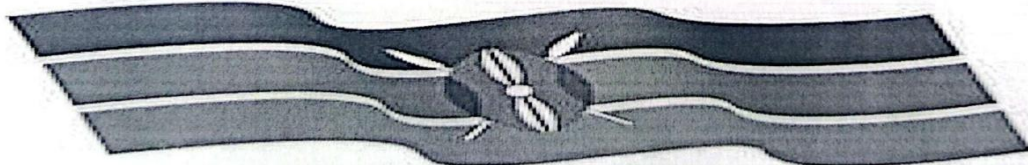


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ABBREVIATIONS AND ACRONYMS

ABDP	Aquaculture Business Development Programme	GVA	Gross Value Added
ADP	Annual Development Plan	ICT	Information Communication Technology
AEO	African Economic Outlook	IFAD	International Fund for Agricultural Development
ASDSP	Agricultural Sector Development Support Programme	IFMIS	Integrated Financial Management System
A-I-A	Appropriations in Aid	KCSAP	Kenya Climate Smart Agriculture Project
BETA	Bottom-up Economic Transformation Agenda	KDSP	Kenya Devolution Support Program
CARA	County Allocation Revenue Act	Kshs	Kenya Shillings
CBROP	County Budget Review and Outlook Paper	KUSP	Kenya Urban Support Program
CCISP	County Climate Institutional Support Program	MSMEs	Micro and Small Medium Enterprises
CCTV	Closed Circuit Television	MTEF	Medium Term Expenditure Framework
CECMF	County Executive Committee Member for Finance	MTP	Medium Term Plan
CFSP	County Fiscal Strategy Paper	NAVCDP	National Agricultural Value Chain Development Program
CG	County Government	NHIF	National Hospital Insurance Fund
CIDP	County Integrated Development Plan	OSR	Own Source Revenue
CoB	Controller of Budget	PBB	Programme Based Budget
COFOG	Classification of Functions of Government	PFMA	Public Finance Management Act
CRA	Commission on Revenue Allocation	Reg	Regulation
CRF	County Revenue Fund	RMFLF	Road Maintenance Fuel Levy Fund
DANIDA	Danish International Development Agency	RRI	Rapid Results Initiative
EAC	East African Community	Sec	Section
ECDE	Early Childhood Development Education	SIDA	Swedish International Development Agency
EMDEs	Emerging Markets and Developing Economies	SSA	Sub-Saharan Africa
FIF	Facilities Improvement Fund	UDG	Urban Development Grant
FLLoCA	Financing Locally Led Climate Action Programme	UIG	Urban Institutional Grant
FY	Financial Year		
GDP	Gross Domestic Product		
GNI	Gross National Income		

CHAPTER ONE

1.0 INTRODUCTION

A. Legal Basis for the Preparation and Publication of the County Budget Review and Outlook Paper

1. The County Budget Review and Outlook Paper is prepared in accordance with Section 118 of the Public Financial Management Act, 2012 and should provide:
 - i. Actual fiscal performance in the previous financial year compared to the budget Appropriation for that year;
 - ii. Updated economic and financial forecasts with sufficient information to show changes from the forecasts in the most recent County Fiscal strategy paper;
 - iii. Information on how actual financial performance for the previous financial year may have affected compliance with the fiscal responsibility principles or the financial objectives in the latest County Fiscal strategy paper; and
 - iv. The reasons for any deviation from the financial objectives together with proposals to address the deviation and the time estimated to do so.
2. County Executive committee shall consider the County Budget Review and outlook Paper with a view to approving it with or without amendments, not later than fourteen days after its submission.
3. Not later than seven days after the CBROP has been approved by Executive committee, the County Treasury shall:
 - i. submit the paper to the County Assembly; and
 - ii. as soon as practicable publish and publicize the paper

B. County Government Fiscal Responsibility Principles

4. In line with chapter 12 of the Constitution of Kenya, Section 107 of the Public Financial Management (PFM) Act, 2012

- i. The County Government's recurrent expenditure shall not exceed the County Government's total revenue.
- ii. Over the medium term, a minimum of 30% of the County budget shall be allocated to development expenditure
- iii. The County Government's expenditure on wages and benefits for public officers shall not exceed a percentage of the County Government revenue as prescribed by the regulations.
- iv. Over the medium term, the County Government's borrowings shall be used only for the purpose of financing development expenditure and not for recurrent expenditure.
- v. Public debt and obligations shall be maintained at a sustainable level as approved by County Government.

C. Objectives of the County Budget Review and Outlook Paper

- 5. The 2025 CBROP aims at providing review of the fiscal performance for the FY 2024/2025 and how the outcomes impacted the County's financial objective and fiscal responsibility principles as envisaged in the PFM Act 2012 and County Fiscal Strategy Paper.
- 6. Based on the indicative County resource envelope, the CBROP 2025 will also relay the primary sector ceilings for FY 2025/2026 budget inclusive of indicative projections for the FY 2026/2027 thus setting off the budget preparation process for the fiscal year.
- 7. The paper is organized into four chapters: Chapter II provides a review of fiscal performance in the FY 2024/2025; Chapter III looks at the Recent Economic Developments and the updated National and County macroeconomic outlook; Chapter IV gives a brief overview of the FY 2025/2026 budget framework.

CHAPTER TWO

2.0 REVIEW OF FISCAL PERFORMANCE IN FY 2023/2024

2.1 Overview of FY 2024/2025 Budget

8. The County's approved budget for FY 2024/2025 was Kshs. 14.4 billion as at the beginning of the financial year which comprised of Kshs. 10.1billion and Kshs. 4.3billion relating to recurrent and development expenditure respectively. In the course of budget implementation in the reporting period, the County adjusted its budget to accommodate the unspent funds in the FY 2023/2024 and changes in the County Allocation Revenue Act, County Government Additional Allocation Act among others giving a total County Budget of Kshs. 15.62 billion comprising of Kshs. 10.87billion and Kshs.4.75billion as recurrent and development expenditure respectively. This is presented in figures 1 and 2 below

Figure 1: County Budgetary Sources FY 2024/2025

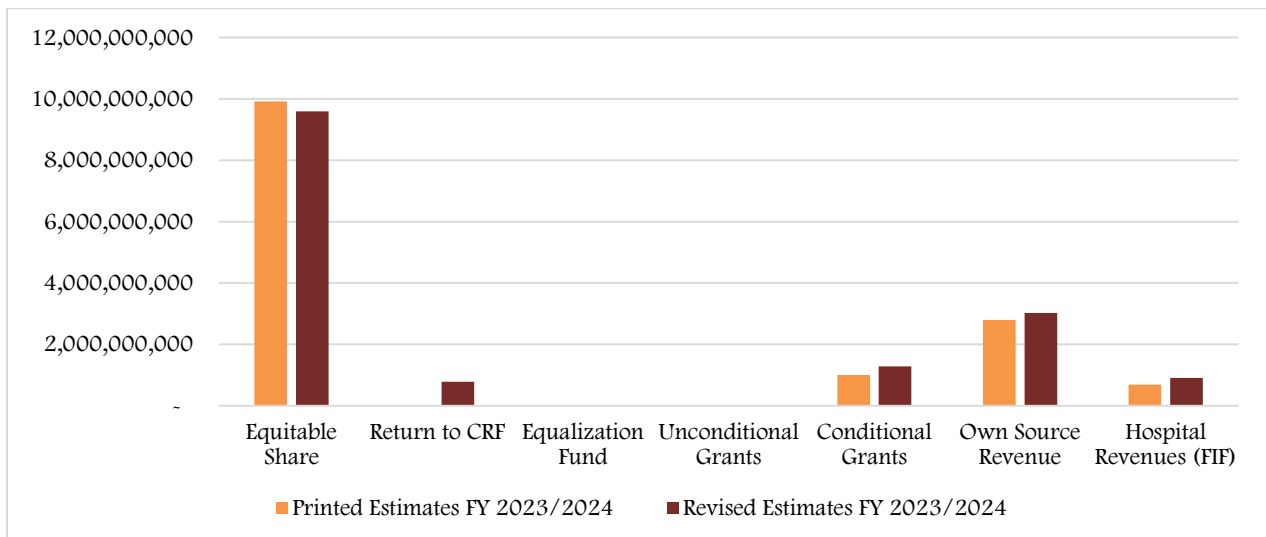
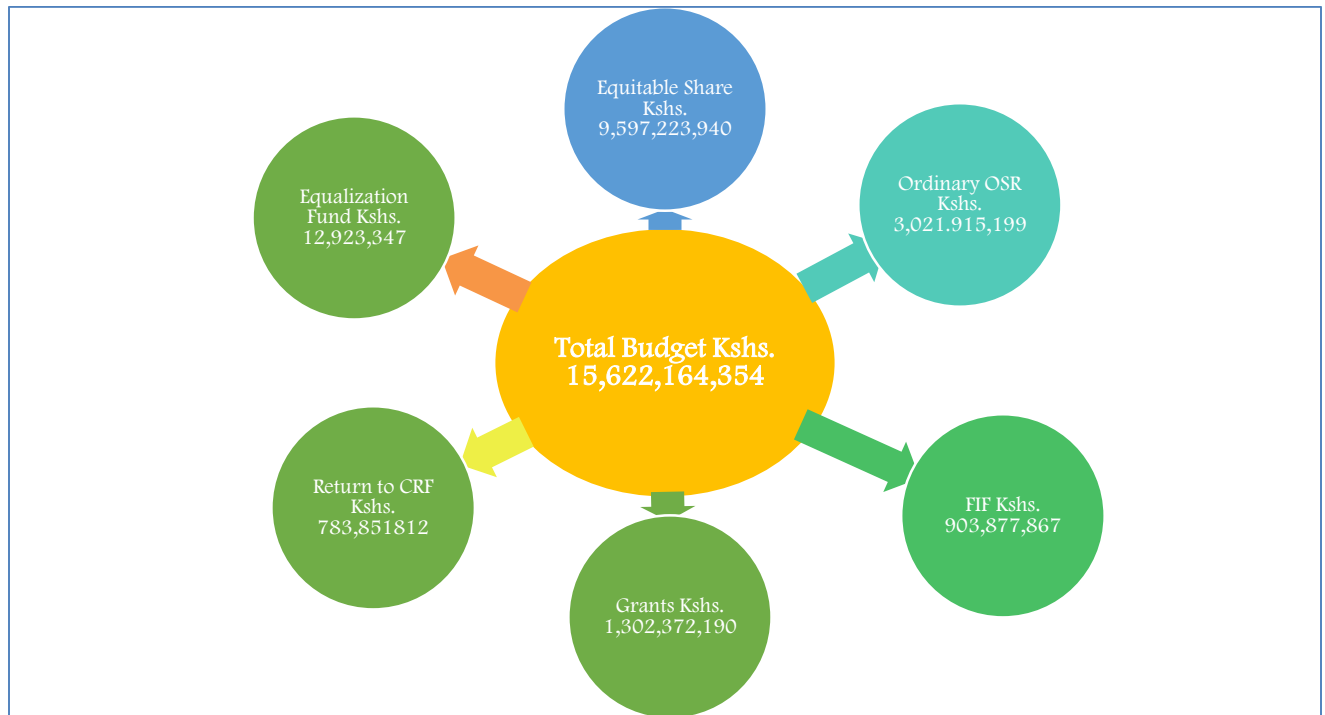


Figure 2: Revised Budgetary Sources FY 2024/2025



9. The recurrent expenditure comprised of Kshs. 6.7billion as compensation of employees, Kshs. 3.991billion for Operations and Maintenance while Additional Allocations/Grants attributed to recurrent expenditure was Kshs. 0.18billion. The development expenditure was composed of Kshs. 3.67billion for Acquisition of Non-financial assets while Kshs. 1.08 billion was Additional Allocations/Grants attributed to development expenditure. This is presented in figures 3 and 4 below.

Figure 3 Budgetary Allocation by Economic Classification

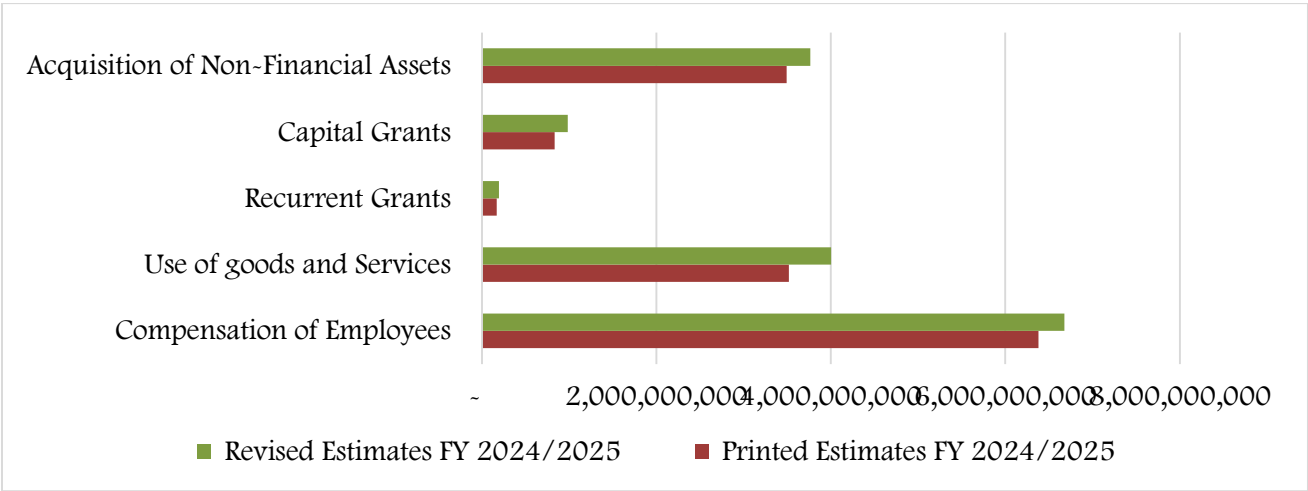
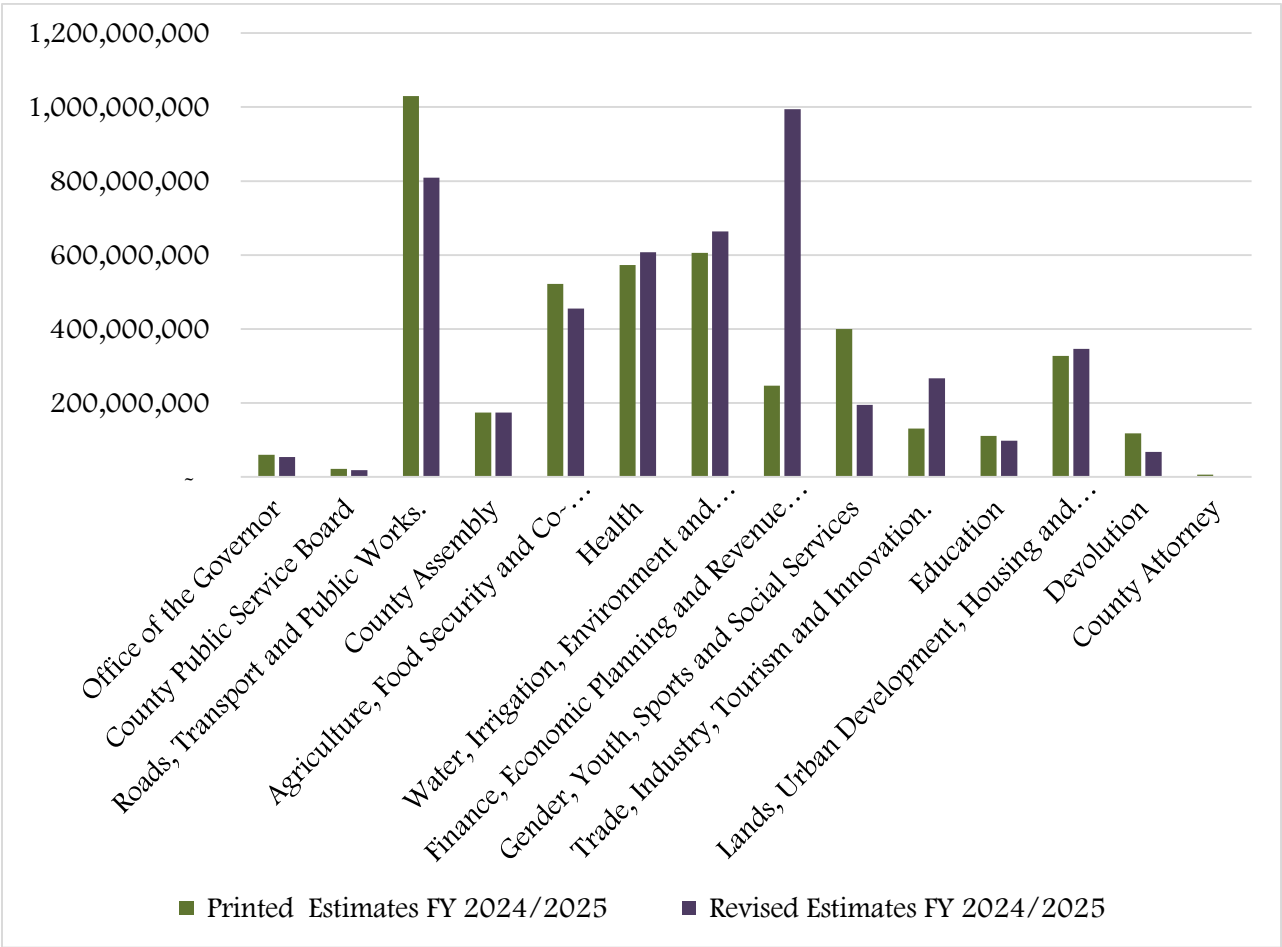
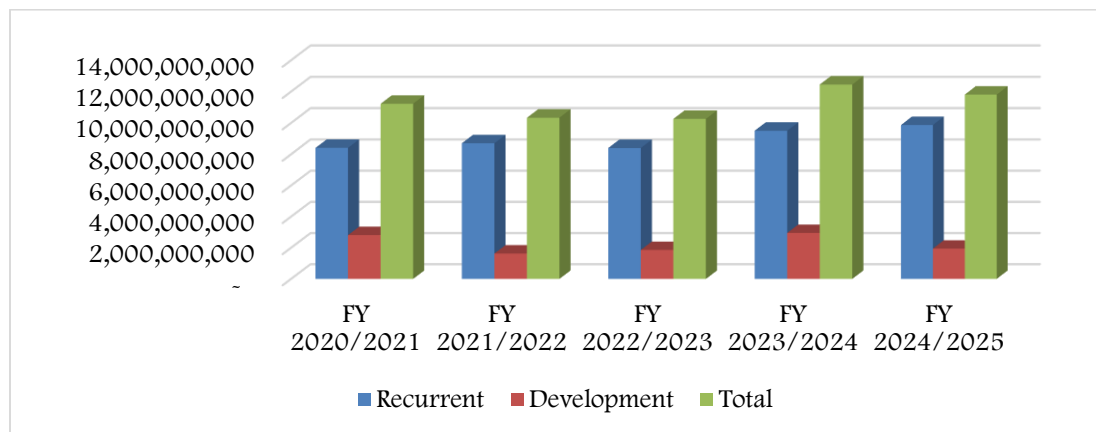


Figure 4: Development Budget Allocation FY 2024/2025 as a Percentage of Total Budgets



10. The overall budget execution declined by 3% from 79% in FY 2023/2024 to 76% in FY 2024/2025. Figure 2 below gives an expenditure comparison in the last five years.

Figure 5: Comparative County expenditure for FY 2020/2021–FY 2024/2025



2.2 Fiscal Performance FY 2024/2025

2.2.1 Revenue performance

11. Budget execution was hampered by challenges in the mobilization of Own Source Revenue which fell below expectations. The County realized Kshs. 2.18 billion as OSR against a target of Kshs. 3.9 billion. The county's total revenue receipts were Kshs. 13.03 billion against a target of Kshs. 15.62 billion. Table 1 below gives the fiscal out-turn for the FY 2024/2025.

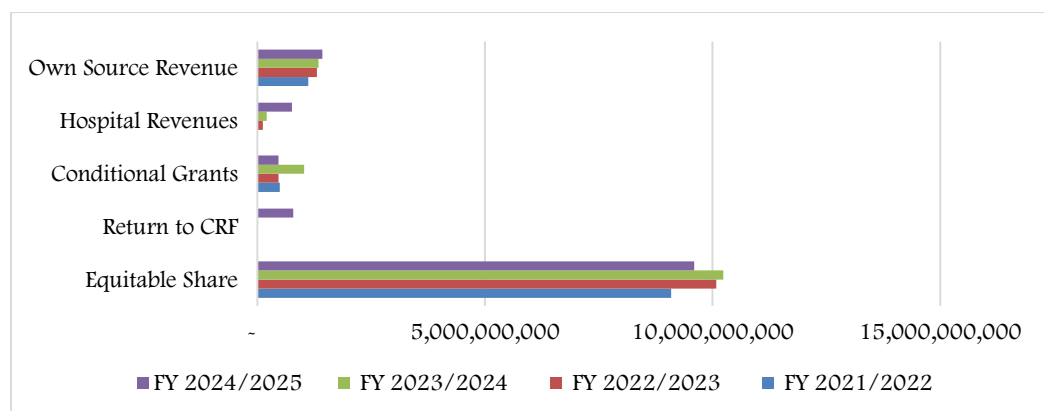
Table 1: Fiscal Out-turn for the FY 2024/2025 (Amounts in Kshs.)

	Actual Expenditure FY 2022/2023	Actual Expenditure FY 2023/2024	Printed Estimates FY 2024/2025	Revised Estimates FY 2024/2025	Actual Performance FY 2024/2025	Budget Execution
Total Revenue	11,969,212,702	12,812,761,825	14,392,185,634	15,622,164,355	12,967,367,442	83
Equitable Share	10,078,605,585	10,239,597,083	9,914,003,936	9,597,223,940	9,597,222,939	100
Unspent Balances FY 2023/2024			-	783,851,812	783,851,812	100
Equalization Fund	-	-	-	12,923,347	-	-
Unconditional Grants	-	-	1,708,218	16,053,513	-	-
Conditional Grants	460,815,858	1,023,816,263	1,000,511,971	1,286,318,677	404,457,376	32
Hospital Revenues	120,317,958	204,409,376	687,000,000	903,877,867	755,682,847	84
Own Source Revenue	1,309,473,301	1,344,939,102	2,788,961,509	3,021,915,199	1,426,152,468	47
Total Expenditure	10,257,046,327	12,458,451,500	14,392,185,633	15,622,164,356	11,693,093,801	75
Recurrent Vote	8,398,286,797	9,506,985,069	10,067,055,061	10,874,415,758	9,552,212,021	88
Compensation to	5,566,708,303	6,286,026,135	6,358,782,113	6,698,764,221	6,395,358,649	95

	Actual Expenditure FY 2022/2023	Actual Expenditure FY 2023/2024	Printed Estimates FY 2024/2025	Revised Estimates FY 2024/2025	Actual Performance FY 2024/2025	Budget Execution
Employees						
Use of Goods and Services	2,831,578,494	3,187,569,007	3,539,814,730	3,992,848,024	3,156,853,371	79
Current Grants	-	33,389,927	168,458,218	182,803,513	-	-
Development Vote	1,858,759,530	2,951,466,431	4,325,130,572	4,747,748,598	2,140,881,780	45
Acquisition of Non-Financial Assets	1,858,759,530	2,198,426,026	3,491,368,601	3,669,262,672	1,846,384,957	50
Capital Grants	-	753,040,405	833,761,971	1,078,485,926	294,496,823	27

Source: Machakos County Financial Statements FY 2024/2025

Figure 6: Comparative County Total Receipts in FY 2021/2022- FY 2024/2025



2.2.2 County Own Source Revenue

12. The County Government targeted to collect Kshs. 3.9 billion as Own Source Revenue which consisted of Kshs. 3.billion as ordinary OSR and Ksh. 0.9billion as FIF. Due to prevailing revenue mobilization challenges, the County collected Kshs. 1.42billion and Kshs. 0.76billion as ordinary OSR and FIF respectively. This amount represented an increase of 40 per cent compared to Kshs.1.55billion realized in FY 2023/2024 translating to 55.6% of the total target for the Financial Year 2024/2025. Table 2 below gives a comparative revenue collection trends by stream.

Table 2: Own Source Revenue Yearly Collection by Stream

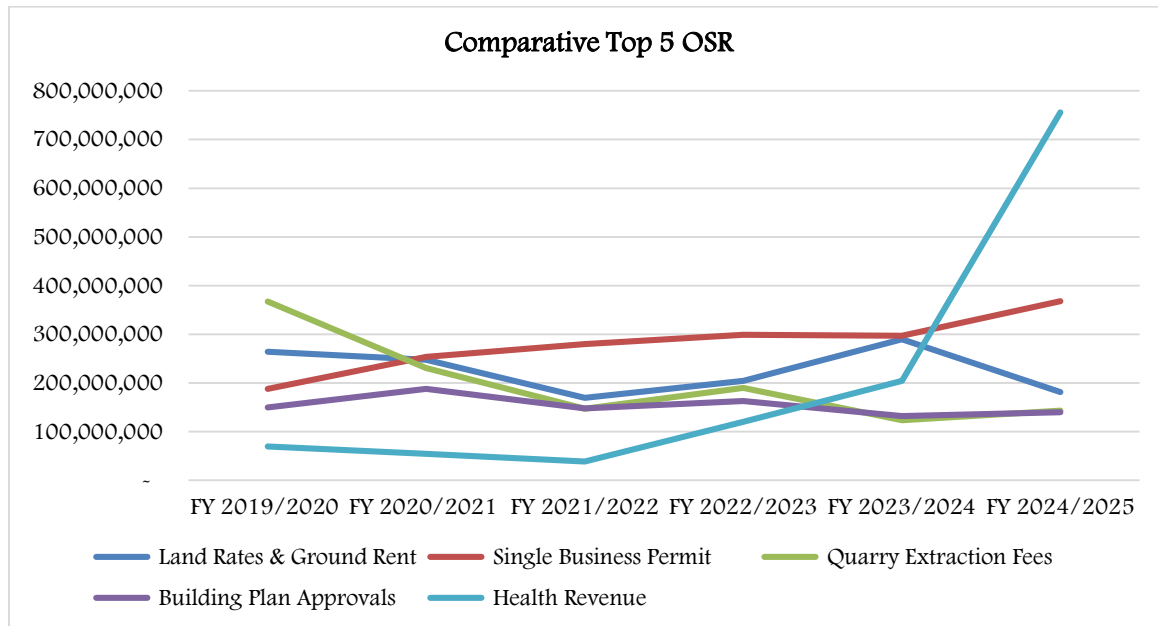
Revenue Stream	Actual FY 2021/2022	Actual FY 2022/2023	Actual FY 2023/2024	Target FY 2024/2025	Actual FY 2024/2025
Land Rates & Ground Rent	169,415,389	204,509,754	289,607,582	441,415,053	181,168,927
Single Business Permit	279,702,729	298,859,046	297,038,809	300,606,861	367,704,942

Revenue Stream	Actual FY 2021/2022	Actual FY 2022/2023	Actual FY 2023/2024	Target FY 2024/2025	Actual FY 2024/2025
Quarry Extraction Fees	146,802,687	189,782,165	123,176,334	458,892,708	142,925,000
Sand Gravel	19,408,401	26,475,610	27,721,006	114,665,608	45,207,520
Market Fees	7,249,032	13,253,012	61,656,607	100,610,377	95,157,067
Plot/Stall Rent	3,242,039	3,351,824	4,355,382	17,594,199	3,508,579
Bus park	111,101,993	140,981,326	98,467,384	435,549,647	106,867,370
House Rent	860,962	1,792,252	1,548,303	3,882,156	1,448,150
Refuse/Conservancy Fee	28,320,120	32,406,484	29,255,982	30,249,053	36,827,445
Sign Board & Advertisement Fee	43,302,031	75,168,364	81,294,436	117,013,656	100,240,155
Fire Fighting & Ambulance Mgt Unit	14,145,202	17,154,355	14,415,031	32,235,653	38,292,498
Slaughter House Fees/Livestock	12,502,064	14,831,987	12,984,296	73,699,829	12,947,016
Enforcement Management	3,787,116	7,338,385	5,664,486	23,939,332	11,111,748
Off-street Parking Unit	13,999,740	16,411,332	19,274,217	561,416,781	19,667,610
Building Plan Approvals	147,655,443	162,826,953	131,754,599	184,312,666	139,926,626
Cess	7,358,762	14,081,514	49,212,296	2,026,820	44,617,159
Social Services	82,039	295,720	1,701,069		2,980,470
Water Sales	796,369	689,000	426,593	606,780	2,066,500
People's Park/Maruba	902,871	-	855,967	4,824,709	599,100
House Loan Repayment	84,000	116,933	159,768		30,995
Salary Refunds/Advances	858,716	2,448,444	228,067	2,257,167	753,175
Agri Farm	66,200	463,760	143,441		65
Health Revenue	38,809,908	120,317,958	204,409,376	903,877,867	755,682,847
Liquor	61,556,386	72,373,670	80,028,783	71,649,216	60,842,130
Tourism	2,173,225	1,185,601	174,253	969,867	0
Interest & Penalties on Plot and Stall Rent	58,541	197,770	406,533	406,229	393,655
Noise Pollution	541,107	386,650	1,071,069	3,363,781	3,405,750
Motor Cycle Registration	3,414,930	11,204,510	11,505,086	10,787,664	7,222,601
Weights and Measures	263,750	886,880	811,724	10,551,153	240,215
Court Fines	-	-	-	18,388,233	
Total	1,118,461,753	1,429,791,259	1,549,348,479	3,925,793,065	2,181,835,314

Source: Machakos County Financial Statements FY 2024/2025

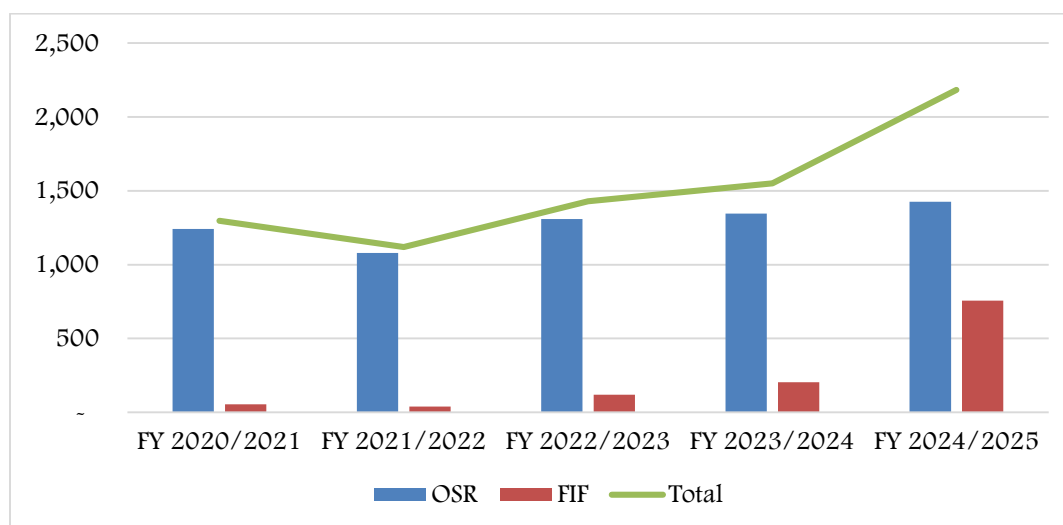
13. The top five revenue earners to the County are Single business permit, Land Rates, Quarry Extraction, Building Plans and Health Revenues as presented in figure 7 below

Figure 7: Top Five Own Source Revenue Streams FY 2024/2025



14. During the financial year, revenue performance remained below the projected targets, primarily attributed to the continued use of an outdated valuation roll that limited the County's capacity to realize optimal property rates. Additionally, inadequate enforcement personnel and insufficient stakeholder sensitization further constrained effective revenue mobilization and compliance.
15. Moving forward, to address these challenges and strengthen revenue performance in subsequent financial years, the County Government will implement the valuation roll which is already been approved, enhance tax-payer education and sensitization, promote staff capacity and motivation of revenue personnel, improve on internal controls and audit systems, enforce legal and regulatory frameworks, individual departments being given revenue collection targets that fall within their jurisdictions

Figure 8: Trend in Yearly Own Source Revenue Collection (Kshs Millions)



16. Yearly collection trends in the last five years has shown a steady improvement of own source revenue collections from a low of Kshs. 1.1 billion in FY 2021/2022 to a high of Kshs. 2.2billion in FY 2024/2025. Going forward, the County Treasury has put in place measures that will enable it continue with the positive trajectory in OSR collections some of which have been highlighted in paragraph 14 above.

2.2.3 Additional Allocations/Grants

17. The County expected to receive Kshs. 1.32billion as Additional Allocations/Conditional Grants comprising of 12.9million Equalization Fund, Kshs. 16million unconditional grants, Kshs. 0.85billion conditional grants from development partners and Kshs.0.44billion conditional grants from National Government share of revenue. The actual receipts amounted to Kshs. 406.5million representing a 31% achievement rate. The low performance in additional allocations was attributed to late enactment of the County Governments Additional Allocation Act which was approved in the last quarter of the financial year. It is envisaged that going forward, both houses of parliament will prioritize approval of the bill within the first quarter of the financial year to enhance implementation. The individual performance of conditional grants is as indicated in table 3 below.

Table 3: Additional Allocations FY 2024/2025

Description		Actual FY 2022/2023	Actual FY 2023/2024	Printed Estimates FY 2024/2025	Revised Estimates FY 2024/2025	Actual FY 2024/2025	Budget Executio n (%)
Equalization Fund				~	12,923,347		~
Court Fines				1,617,189	16,053,513		~
Mineral Royalties				91,029	-		
Total Unconditional Grants			~	1,708,218	16,053,513		~
Community Health Promoters Project			-	83,250,000	83,250,000		~
County Aggregated Industrial Parks			64,000,000	-	186,000,000	186,000,000	
Fertilizer Subsidy			195,350,986	-			
Road Maintenance Levy Fund			-	314,847,146	111,125,100	111,125,100	
Basic Salary Arrears for Health Workers					58,646,293		
Total Conditional Grants from National Government Share of Revenue			259,350,986	398,097,146	439,021,393	297,125,100	68
Kenya Climate Smart Agriculture Project (KCSAP)- World Bank	68,040,614		394,810	-			
Kenya Devolution Support Project (KDSP I) – World Bank			142,185,298		58,417,280	-	
Kenya Devolution Support Project (KDSP II Level 2) – World Bank				37,500,000	37,500,000	~	~
Kenya Urban Support Project (UIG)-World Bank				35,000,000	35,000,000	32,309,300	~
Kenya Urban Support Project (UDG)- World Bank	4,729,034		96,640,253	90,174,566	179,392,140		~
Universal Healthcare in Devolved Context (PHCDC)- DANIDA L2&3	18,329,063		347,081	11,943,750	12,250,425	11,943,750	~
National Agricultural Value Chain Development Project- World Bank	67,192,729		199,404,350	151,515,152	151,515,152	49,138,072	~
Agriculture Sector Development Support Program-SIDA	14,446,442		2,847,900	-			
Emergency Locust Response Project- World Bank	66,035,643		112,116,986	104,600,000	104,600,000		~
Kenya Agricultural Business Development Project-Sweden				10,918,919	10,918,919		~
Aquaculture Business Development Program-IFAD				12,262,438	12,262,438		
Financing Locally-Led Climate Change Action Program (FLLoCA) County Climate Resilience Investment- World Bank	22,000,000		199,527,852	137,500,000	234,440,930	13,941,154	
Financing Locally-Led Climate Change Action Program (FLLoCA) County Climate Institutional Support- World Bank			11,000,000	11,000,000	11,000,000		~
Total Conditional Grants from Development Partners	260,773,525		764,464,530	602,414,825	847,297,284	107,332,276	13
Total Additional Allocations	260,773,525		1,023,815,516	1,002,220,189	1,315,295,537	404,457,376	31

Source: Machakos County Financial Statements FY 2024/2025

2.2.4 Expenditure Performance

18. Analysis of expenditure by economic classification shows that compensation of employees had the highest absorption rate at 51% of available revenue and 42% of the total budget while operations and maintenance accounted for 25% of available revenue and 21% of total budget. Development expenditure accounted for 15% of the available revenue and 12% of the total budget. The county spent 91% of the total revenue available during the financial year though this expenditure was 76% of the total county budget as presented in table 6 below.

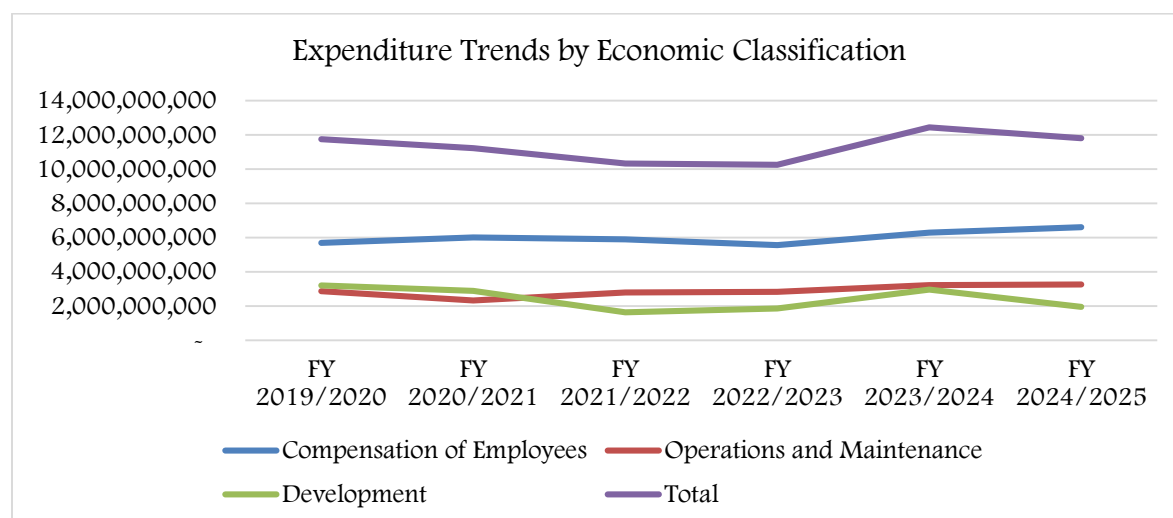
19. The low expenditure on development programmes was attributed to late disbursement of the Additional Allocations since 82% of the additional allocations was allocated to the development budget. Other factors include unmet targets in Own Source Revenue.

Table 4: Expenditure Performance by Economic Classification for FY 2022/2023 and FY 2024/2025

Economic Item	Actual Expenditure FY 2022/2023	Actual Expenditure FY 2023/2024	Printed Estimates FY 2024/2025	Revised Estimates FY 2024/2025	Actual Performance FY 2024/2025	Budget Execution
Compensation of Employees	5,566,708,303	6,286,026,135	6,358,782,113	6,698,764,221	6,395,358,649	95
Use of goods and Services	2,831,578,494	3,187,569,007	3,539,814,730	3,992,848,024	3,156,853,371	79
Current Grants	-	33,389,927	168,458,218	182,803,513	-	-
Acquisition of Non-Financial Assets	1,858,759,530	2,198,426,026	3,491,368,601	3,669,262,672	1,846,384,957	50
Capital Grants	-	753,040,405	833,761,971	1,078,485,926	294,496,823	27
Total	10,257,046,327	12,458,451,500	14,392,185,633	15,622,164,356	11,693,093,801	75

Source: Machakos County Financial Statements FY 2024/2025

Figure 9: Comparative County Total Expenditure in FY 2019/2020 -FY 2024/2025



2.2.5 County Entities Expenditure Analysis

20. All County entities achieved an execution rate of at least 50% with the exception of Water, Irrigation, Environment & Climate Change, Lands, Urban Development Housing & Energy and Agriculture at 41%, 40% and 49% respectively. This was due to the fact that a higher percentage of the departments' allocations were in development composed mostly of Conditional Grants. The performance of these grants was at 31% as shown in table 3. As noted in paragraph 19 above, it is recommended that the National Government MDAs hastens the release of these funds immediately the County Government Additional Allocations Laws are enacted.

21. Departments of Devolution and County Attorney achieved the highest absorption rate 88% and 89% followed by County Assembly (86%), Finance (85%) Education (84%) and Health (81%). Table 5 below details the performance of each County Entity

Table 5: County Entity Expenditure Performance for Period Ending 30th June, 2025

County Entity		Actual Expenditure FY 2023/2024	Printed Estimates FY 2024/2025	Revised Estimates FY 2024/2025	Actual Performance FY 2024/2025	Budget Execution
Office of the Governor	Recurrent	477,506,629	797,345,768	797,345,768	666,104,331	84
	Development	732,271	59,830,059	53,312,174	25,607,583	48
	Total	478,238,900	857,175,827	850,657,942	691,711,914	81
County Public Service Board	Recurrent	30,161,925	38,013,709	38,013,709	31,186,853	82
	Development	-	21,796,931	18,000,000	-	-

County Entity		Actual Expenditure FY 2023/2024	Printed Estimates FY 2024/2025	Revised Estimates FY 2024/2025	Actual Performance FY 2024/2025	Budget Executi on
	Total	30,161,925	59,810,640	56,013,709	31,186,853	56
Roads, Transport and Public Works.	Recurrent	211,578,222	244,405,006	277,315,520	215,072,546	78
	Development	425,374,344	1,029,916,379	808,886,465	399,309,575	49
	Total	636,952,566	1,274,321,385	1,086,201,985	614,382,122	57
Health	Recurrent	4,115,520,128	4,242,640,010	4,547,392,259	3,934,234,602	87
	Development	470,040,244	572,722,244	607,578,996	219,540,657	36
	Total	4,585,560,372	4,815,362,254	5,154,971,255	4,153,775,259	81
County Assembly	Recurrent	919,694,196	1,114,313,264	944,156,126	924,156,118	98
	Development	57,346,762	174,400,000	174,400,000	43,341,639	25
	Total	977,040,958	1,288,713,264	1,118,556,126	967,497,757	86
Water, Irrigation, Environment and Climate Change	Recurrent	117,128,210	146,200,496	163,600,496	122,445,582	75
	Development	443,483,954	605,611,724	664,088,175	212,950,523	32
	Total	560,612,164	751,812,220	827,688,671	335,396,105	41
Agriculture, Food Security and Co- operative Development	Recurrent	255,648,065	276,621,746	277,236,361	262,288,499	95
	Development	702,144,004	521,658,938	455,393,212	93,785,214	21
	Total	957,792,069	798,280,684	732,629,573	356,073,713	49
Finance, Economic Planning and Revenue Management	Recurrent	1,122,464,760	994,884,451	1,153,331,416	1,098,672,885	95
	Development	568,480,286	246,636,671	993,957,761	718,628,749	72
	Total	1,690,945,046	1,241,521,122	2,147,289,177	1,817,301,635	85
Gender, Youth, Sports and Social Welfare.	Recurrent	146,177,389	144,571,815	152,471,665	117,399,029	77
	Development	125,592,017	400,158,502	194,441,334	89,650,001	46
	Total	271,769,406	544,730,317	346,912,999	207,049,030	60
Trade, Industry, Tourism and Innovation.	Recurrent	178,327,729	157,017,292	156,576,868	138,416,562	88
	Development	114,949,228	130,575,969	266,584,567	179,662,170	67
	Total	293,276,957	287,593,261	423,161,435	318,078,733	75
Education	Recurrent	529,201,849	560,803,754	762,572,320	660,545,764	87
	Development	-	110,410,378	97,787,708	62,418,779	64
	Total	529,201,849	671,214,132	860,360,028	722,964,543	84
Lands, Urban Development, Housing and Energy.	Recurrent	226,431,017	253,137,941	265,203,441	176,680,797	67
	Development	42,094,320	326,915,650	345,760,162	67,288,148	19
	Total	268,525,337	580,053,591	610,963,603	243,968,946	40
Devolution	Recurrent	1,125,704,378	1,010,248,037	1,252,348,036	1,128,068,213	90
	Development	1,229,000	117,987,127	67,558,044	28,698,742	42
	Total	1,126,933,378	1,128,235,164	1,319,906,080	1,156,766,955	88
County Attorney	Recurrent	51,440,570	86,851,773	86,851,773	76,940,240	89
	Development	-	6,510,000	-	-	-
	Total	51,440,570	93,361,773	86,851,773	76,940,240	89
Total Recurrent		9,506,985,067	10,067,055,062	10,874,415,758	9,552,212,021	88
Total Development		2,951,466,430	4,325,130,572	4,747,748,598	2,140,881,780	45
Total Budget		12,458,451,497	14,392,185,634	15,622,164,356	11,693,093,801	75

Source: Machakos County Financial Statements FY 2024/2025

22. Machakos County Entities have been classified into eight sectors in line with the classification of functions of Government (COFOG)-Annex 7. Public Administration sector was allocated the highest budget at Kshs. 5.45billion (35%) due to the various

government coordination entities within the sector followed by the Health Sector at Kshs. 5.15billion (33%). Water and Irrigation sector was allocated the least budget at Kshs. 0.5billion (3%).

23. In terms of budget execution, Health Sector was the highest with an absorption rate of 87% followed by Public Administration at 83%. Education (78%), Commercial Affairs Sector (75%), Energy and Infrastructure (56), Agriculture and Cooperative Development (50), Water and Irrigation (40%) while Lands and Natural Resources was the least with 15% budget execution rate.

Table 6: Summary of Project implementation as at 30th June 2025

Project Name	Project Location	Implementation status (%)
Construction of Daycare Center	Matuu	100
Renovation of Ngelani VTC	Ngelani	100
Renovation of Katangi VTC	Katangi town	100
Fencing, dairy unit and renovation of dining hall, and hostels	Machakos Central ward	70
Completion of kathiani subcounty office	Kathiani	100
Completion of Multipurpose Subcounty Office	Tala-Katine	65
Completion of Multipurpose Subcounty Office	Ndithini-Kiatineni	75
Construction Of Machakos Subcounty Fire Station.	Machakos Central	60
Renovation Of Matuu Subcounty Fire Station.	Matuu	100
Construction of digital hubs	machakos	100
Rehabilitation and reticulation of kisengeu spring in mitaboni ward	Mitaboni ward	100
Mbiuni Market Borehole water project	Mbiuni Ward	100
Rehabilitation of embarkment and spillway at kiadini dam in mbiuni ward	Mbiuni Ward	100
construction of matokini earth dam in Katangi yatta sub county	Matokini, Katangi Ward	100
Reticulation of MYE borehole	Muvuti/Kiima Kimwe Ward	100
Rehabilitation of KITWASCO Kaewa-Masinga and Masinga -Ekalakala Pipeline	Masinga central and Ekalakala Ward	80
Construction works of Tipui earthdam	Ekalakala Ward	90
Construction of Ndatani earth dam in Masinga	Masinga	100
Construction of Masii Level 4 Hospital	Masii ward	98
Construction of New Machakos specialist Hospital	Machakos Central Ward	17
Construction of Mavoko Level 4 Hospital	Athiriver	9
Refurbishment of Machakos Level 5 intern quarters	Machakos Central Ward	100
Construction of radiology block at Kangundo Level 4 Hospital	Kangundo	100
Plumbing works at Kathiani Level 4	Kathani L4	85
Drainage works at Muumandu	Muumandu	100
Kathalani – Kaviani Road (Phased) 3.2 kms	Upper Kaewa	100
Katangi – Kinyaata – Kithimani Road (Phased) 5 kms	Katangi, Ikombe, Kithimani Yatta	93
Mlolongo – Gossip – Police Road (Phased) 4.3 kms	Mlolongo/ Syokimau	38.5
Routine maintenance Muthunzuni Factory Ukavi Road	Kinanie	100
Routine Maintenance of Ngelani- Kinanie	Kinanie	100

Project Name	Project Location	Implementation status (%)
Road		
Routine Maintenance of Yaitha - Kanyongo-Nzaini Road	Kalama Ward	100
Routine Maintenance of Ndivu-Mumbua Nzyimi Road	Mua Ward	100
Construction of Office Block (Thin Tall Building)	Mua	73

2.3 Pending Bills

24. The County Government continues to make steady progress in addressing pending bills to enhance efficiency and improve service delivery. During the reporting period, the County Executive settled Kshs. 846 million in recurrent expenditure and Kshs. 531 million in development expenditure, totaling Kshs. 1.377 billion. The County Assembly also cleared Kshs. 22.47 million of its recurrent pending bills. As at the end of the reporting period, the total outstanding pending bills stood at Kshs. 5.5 billion, which the County Government remains committed to progressively settle.

25. To sustain this positive trend and prevent the re-emergence of pending obligations, the County Government has put in place several proactive measures, including:

- i. Reporting pending bills using a standardized financial reporting template to enhance consistency and transparency;
- ii. Disclosing detailed information on pending bills in the financial statements, including the date, beneficiary, description, amount, and reason for deferment, to strengthen accountability;
- iii. Preparing and implementing monthly payment plans for outstanding bills, guided by a First-In, First-Out (FIFO) principle to ensure fairness and predictability; and
- iv. Collaborating with the Controller of Budget to monitor and provide regular updates on the settlement progress of eligible pending bills.

26. In addition, the County Government has strengthened institutional mechanisms to ensure prudent financial management and minimize future accumulation of pending bills. These include:

- a) Enhancing departmental internal controls to ensure proper documentation and compliance in procurement and contracting processes;
- b) Promoting timely procurement planning and execution, with emphasis on initiating major procurements within the first two quarters of the financial year to allow for smooth implementation;
- c) Strengthening project monitoring and follow-up to ensure timely completion and delivery of works, goods, and services within contractual timelines; and
- d) Streamlining the definition and verification of pending bills to ensure accurate reporting and effective planning for subsequent financial years.

2.4 Adherence to Fiscal Responsibility Principles

27. In line with the Kenya Constitution 2010, the PFM Act, 2012 and the PFM regulations 2015, the County will strive towards adhering to the fiscal responsibility principles as set out in the statute as follows:

- i. The County Government's recurrent expenditure shall not exceed the County Government's total revenue

From table 7, allocation to recurrent expenditure in the reporting period was Kshs. 10.87billion against total revenue of Kshs. 15.62billion while actual expenditure stood at Kshs. 9.86billion against available revenue of Kshs. 13.billion. The County therefore adhered to the stated fiscal responsibility.

- ii. Over the medium term, a minimum of 30% of the County budget shall be allocated to development expenditure

In the FY 2024/2025, the allocation to development in the revised budget estimates was 30% of the total expenditures while actual expenditures were 15% of the available revenue and 12% of the total County budget. This performance was below the set threshold on account of late low OSR collections coupled with other factors as highlighted in paragraph 21. In the FY 2025/2026, the allocation to development expenditure is 30 percent of total expenditure and is projected to remain above the 30% threshold over the medium term as presented in Annex 3 below.

- iii. The County Government's expenditure on wages and benefits for public officers shall not exceed a percentage of the County Government revenue as prescribed by the regulations.

Employee compensation (including benefits and allowances) in the FY 2024/2025 surpassed the statutory threshold of 35% which was allocated at 43% of the total County budget with an actual expenditure of 51% of the available spending revenue. This was attributed to the need to adhere to the existing collective bargaining agreements, promotion of staff in line with schemes of service and payment of pension pending bills. The County is however putting measures in place in order to ensure adherence to the fiscal principle is achieved.

- iv. Over the medium term, the County Government's borrowings shall be used only for the purpose of financing development expenditure and not for recurrent expenditure.

In the reporting period, the County did not have borrowings as specified in the Act and when the regulations are enacted that allow County borrowing, all necessary measures shall be put in place to ensure that the borrowings are for financing of development projects.

- v. Public debt and obligations shall be maintained at a sustainable level as approved by County Government.

In the FY 2024/2025, the County did not have debts in the context of the meaning assigned to County Public Debt under section 2 of the Public Finance Management Act, 2012.

- vi. Fiscal risks shall be managed prudently

The County Government has identified, missed revenue targets, that which results in an unfunded budget and pending bills that negatively affects effective delivery of public services. The County is thus committed to mitigate on these risks identified as demonstrated in section 3.7 of this document.

- vii. A reasonable degree of predictability with respect to the level of tax rates and tax bases shall be maintained, taking into account any tax reforms that may be made in the future.

At the County level, the Finance Bills presented to the County Assembly for approval have been stable and predictable with continuous efforts to reform and automate revenue collection processes to enhance compliance and expand the revenue base. The recently approved valuation roll shall increase the number of ratable parcels and maintain their predictability over the medium term and beyond.

2.5 Challenges faced during implementation:

- i. IFMIS downtimes delaying payments/operations.
- ii. Delays in Exchequer disbursements leading to delays in projects implementation and payments.
- iii. Low performance of own source Revenue
- iv. General climate change leading to prolonged drought periods, unreliable and erratic rainfall and increase in temperatures.
- v. Pending bills, which made it difficult to attract reliable vendors and suppliers for the timely delivery of goods and services, leading to delays in project implementation.
- vi. Youth led-Gen Z protests in the year disrupted business operations and limited revenue collections from streams like parking fees, market cess among others.

2.6 Recommendations

- i. Develop and implement strategies to enhance own-source revenue performance to ensure the budget is fully financed.
- ii. Prioritize payment of eligible pending bills in the remaining financial year.

CHAPTER THREE

3.0 RECENT ECONOMIC DEVELOPMENTS AND FISCAL OUTLOOK

3.1 Introduction

29. Achieving the County's medium-term strategic objective is dependent on the performance of both the Global and the National economy. This section provides an overview of the recent economic developments at the Global, National, County levels and the impact that these occurrences have on the County economic development.

3.2 Global Economic Developments

30. According to *World Economic Outlook, July 2025 Update*, Global growth is projected at **3.0 percent** for 2025 and 3.1 percent in 2026, an upward revision from the April 2025 World Economic Outlook. This reflects front-loading ahead of tariffs, lower effective tariff rates, better financial conditions, and fiscal expansion in some major jurisdictions. Global inflation is expected to fall, but US inflation is predicted to stay above target. Downside risks from potentially higher tariffs, elevated uncertainty, and geopolitical tensions persist. Restoring confidence, predictability, and sustainability remains a key policy priority.

31. Growth in advanced economies is projected to be 1.5 percent in 2025 and 1.6 percent in 2026. In the United States, with tariff rates settling at lower levels and looser financial conditions, the economy is projected to expand at a rate of 1.9 percent in 2025.

32. In the euro area, growth is expected to accelerate to 1.0 percent in 2025 and to 1.2 percent in 2026. This is an upward revision of 0.2 percentage point for 2025, but it is largely driven by the strong GDP outturn in Ireland in the first quarter of the year, although Ireland represents less than 5 percent of euro area GDP. The upward revision for 2025 reflects a historically large increase in Irish pharmaceutical exports to the United States resulting from front-loading and the opening of new production facilities. Without Ireland, the revision would be only 0.1 percentage point. The forecast for 2026 is unchanged from that in April, with the effects of front-loading

fading and the economy growing at potential. Revised defense spending commitments are expected to have an impact in subsequent years, given the projected gradual increase to target levels by 2035.

33. In other advanced economies, growth is projected to decelerate to 1.6 percent in 2025 and pick up to 2.1 percent in 2026. In some cases, currency appreciation offsets the favorable effects of more accommodative financial conditions, while the effective tariff rates are the same or slightly higher than in the April WEO reference forecast because of new tariffs imposed on imports of vehicle parts in May and a doubling of tariffs on steel and aluminum in June.

34. In emerging market and developing economies, growth is expected to be 4.1 percent in 2025 and 4.0 percent in 2026. Relative to the forecast in April, growth in 2025 for China is revised upward by 0.8 percentage point to 4.8 percent. This revision reflects stronger-than-expected activity in the first half of 2025 and the significant reduction in US-China tariffs. The GDP outturn in the first quarter of 2025 alone implies a mechanical upgrade to the growth rate for the year of 0.6 percentage point. A recovery in inventory accumulation is expected to partly offset payback from front-loading in the second half of 2025. Growth in 2026 is also revised upward by 0.2 percentage point to 4.2 percent, again reflecting the lower effective tariff rates. In India, growth is projected to be 6.4 percent in 2025 and 2026, with both numbers revised slightly upward, reflecting a more benign external environment than assumed in the April reference forecast.

35. In the Middle East and Central Asia, growth is projected to accelerate to 3.4 percent in 2025 and 3.5 percent in 2026. Growth is expected to be relatively stable in 2025 in sub-Saharan Africa at 4.0 percent, before picking up to 4.3 percent in 2026. In Latin America and the Caribbean, growth is projected to slow to 2.2 percent in 2025 and recover back to 2.4 percent in 2026. Growth in emerging and developing Europe is also expected to slow and remain sluggish at 1.8 percent in 2025 and 2.2 percent in 2026.

36. World trade volume is revised upward by 0.9 percentage point for 2025 and downward by 0.6 percentage point for 2026. The near-term offset provided by front-loading of some trade flows in view of elevated trade policy uncertainty and in anticipation of tighter trade restrictions is expected to fade in the second half of 2025, with the associated payback expected to materialize through 2026. A weaker dollar amplifies the tariff shock instead of absorbing it, leading to a positive impact of tariffs on the US current account balance, which the expansionary fiscal stance more than offsets. Over the medium term, expansionary fiscal packages in economies with current account surpluses are expected to contribute to declining global imbalances.
37. Global inflation is expected to continue to decline, with headline inflation falling to 4.2 percent in 2025 and 3.6 percent in 2026. This is virtually unchanged from the April WEO, with trends of cooling demand and falling energy prices remaining in place. The overall picture hides cross-country variation in forecasts, however. The tariffs, acting as a supply shock, are expected to pass through to US consumer prices gradually and hit inflation in the second half of 2025. Elsewhere, the tariffs constitute a negative demand shock, lowering inflationary pressures.
38. Inflation is projected to remain above the 2 percent target through 2026 in the United States, whereas in the euro area inflationary dynamics are expected to be more subdued, in part on account of currency appreciation and one-off fiscal measures. Although headline inflation in China is projected to remain broadly unchanged from the forecast in April because domestic energy prices have been lower than forecast then, core inflation is revised upward slightly to 0.5 percent in 2025 and to 0.8 percent in 2026. These revisions reflect recent higher-than-expected readings and the reduced tariffs.

Table 7: World Economic Outlook Projections

	GDP Growth (%)				
	2022	2023	2024	2025	2026
World Output	3.5	3.5	3.3	3.0	3.1
Advanced Economies	2.6	1.8	1.8	1.5	1.6
<i>Of which:</i> <i>USA</i>	1.9	2.9	2.8	1.9	2.0
<i>Japan</i>	1.0	1.4	0.2	0.7	0.5

	GDP Growth (%)				
	2022	2023	2024	2025	2026
<i>United Kingdom</i>		0.4	1.1	1.2	1.4
Euro Area	3.4	0.5	0.9	1.0	1.2
<i>Of which: France</i>	2.6	1.6	1.1	0.6	1.0
<i>Spain</i>	5.8	2.7	3.2	2.5	1.8
Other Advanced Economies	2.7	1.9	2.2	1.6	2.1
Emerging Markets and Developing Economies	4.1	4.7	4.3	4.1	4.0
<i>Of which: China</i>	3.0	5.4	5.0	4.8	4.2
<i>India</i>	7.0	9.2	6.5	6.4	6.4
Sub-Saharan Africa	4.0	3.6	4.0	4.0	4.3
<i>Of which: Nigeria</i>	3.3	2.9	3.4	3.4	3.2
<i>South Africa</i>	1.9	0.8	0.5	1.0	1.3
<i>Kenya*</i>	4.9	5.7	4.7	4.5	4.9

*Source: IMF World Economic Outlook Update July 2025; *Kenya Economic Update, May 2025*

3.3 Regional Economic Developments

39. According to African economic Outlook, 2025, Africa's economy is projected to increase from 3.3 percent growth in 2024 to 3.9 percent in 2025, reaching 4 percent in 2026, despite mounting geopolitical uncertainties and trade tensions with some countries like Ethiopia, Niger, Rwanda, and Senegal potentially reaching the critical 7 percent threshold required for poverty reduction and inclusive growth.

40. Africa's projected growth rates will thus **surpass the global average** and outpace most other regions except emerging and developing Asia. Its **continued resilience** is built on effective domestic reforms and improved macroeconomic management.

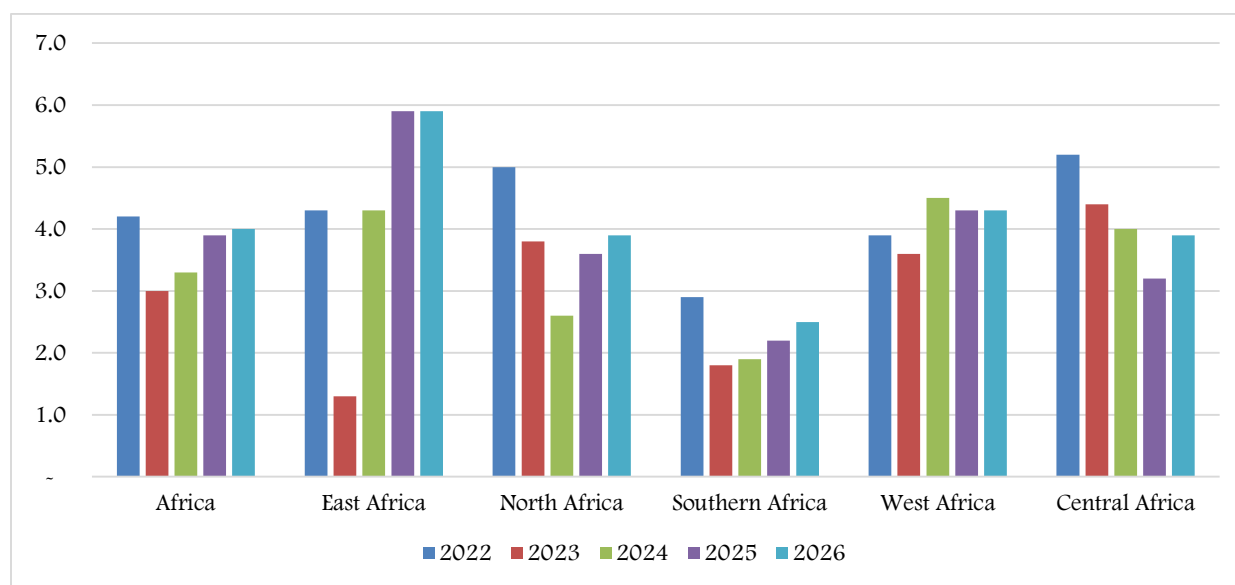
41. Growth prospects vary significantly across regions: **East Africa is projected to** lead with 5.9 percent growth in 2025-2026, driven by resilience in Ethiopia, Rwanda, and Tanzania. **West Africa** is expected to maintain a solid 4.3 percent growth, driven by new oil and gas production coming onstream in Senegal and Niger. In the face of persistent headwinds, **North Africa** is expected to register 3.6 percent growth in 2025. In Central Africa, growth is projected to slow to 3.2% and **Southern Africa** will grow at only 2.2 percent, with its largest economy, South Africa, expected to achieve only 0.8 percent growth.

42. Recent developments show that growth in Sub-Saharan Africa (SSA) picked up from 2.9 percent in 2023 to an estimated 3.2 percent in 2024. This was 0.3 percentage point lower than projected in June, reflecting the ongoing violent conflict in Sudan as well as country-specific challenges that weighed on the region's economic recovery last year. Growth in the region's two largest economies, Nigeria and South Africa, rose to an average of 2.2 percent in 2024, supported by improved electricity supply in South Africa and higher oil production in Nigeria. In the region's other countries, growth edged up to 4.0 percent.
43. Consumer price inflation diverged across the region, with the majority of countries experiencing moderate and declining price increases, though food price inflation remained relatively high. However, sharp price increases persisted in some larger economies, partly reflecting significant currency depreciations (Angola, Ethiopia, and Nigeria). Moreover, food insecurity remained elevated across the region, partly owing to adverse weather events, such as droughts in Southern Africa and floods elsewhere.
44. On the outlook, SSA is expected to firm to 4.1 percent in 2025 and 4.3 percent in 2026, as financial conditions ease alongside further declines in inflation. Following weaker-than-expected regional growth last year, growth projections for 2025 have been revised upward by 0.2 percentage point, and for 2026 by 0.3 percentage point. The growth trajectory, however, is expected to be unevenly distributed among SSA economies. Growth rates in the region's largest two economies will continue to lag those of the rest of the region, despite projected growth pickups in both countries. Excluding the two largest economies, growth in the region is forecast to strengthen from 4 percent in 2024 to about 5.3 percent in 2025-26. Growth in industrial-commodity-exporting economies, excluding Sudan, is forecast to recover amid a pickup in service sector growth as household consumption improves.
45. Against the backdrop of waning inflation, a gradual easing of policy interest rates should bolster private consumption and investment in many SSA economies during the forecast horizon. At the same time, limited fiscal space, resulting from high debt levels and increased borrowing costs, will continue to weigh on government spending across the region. Fiscal balances are expected to continue to improve, though at a moderating pace. Primary fiscal deficits are, on average, forecast to close over the

forecast period, with declining deficits in non-resource-rich countries and increasing surpluses in commodity-exporting countries.

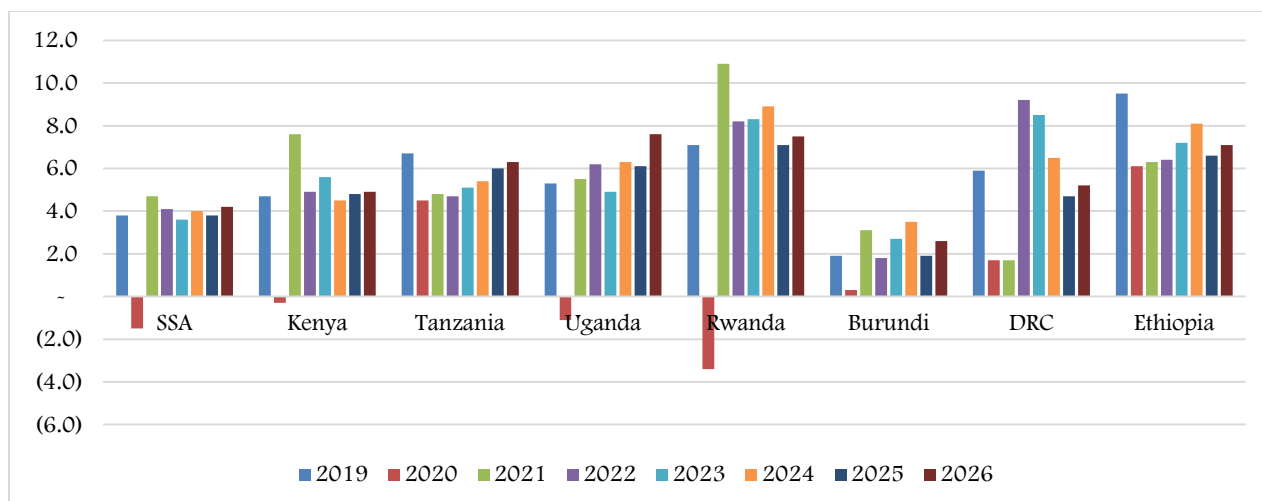
46. Per capita income in SSA is projected to expand by an average of 1.7 percent a year in 2025-26, which is below the average growth rate in emerging market and developing economies, even when China and India are excluded. Moreover, per capita income growth in SSA is expected to remain uneven, with incomes expected to fall in some countries. Per capita incomes are forecast to shrink over the forecast horizon in Angola, the Central African Republic, Equatorial Guinea, and Sudan. Even by 2026, GDP per capita in about 30 percent of the region's economies will not have recovered to their pre-pandemic levels. Thus, these economies will have lost several years in advancing per capita incomes and reducing poverty.

Figure 10: Africa Regional Economic Performance



Source: African Economic Outlook, 2025

Figure 11: East Africa Growth Projections



Source: Regional Economic Outlook (SSA), April 2025

3.4 Domestic Economic Developments

47. In 2024, Kenyan economy grew at a slower pace compared to 2023. The real GDP grew by 4.7%, down from 5.7% in 2023 which was attributed to weak industrial activity, low investment, floods, high interest rates, subdued business sentiment following the mid 2024 protests along with reduced development spending due to fiscal consolidation efforts and climate related shocks. The services sector contributed the largest share of the GDP growth at 55.3%, followed by agriculture at 22.5%, industry at 16.5%, while other sectors accounted for 5.8%. The nominal GDP increased from USD 111.51 billion in 2023 to USD 120.34 billion in 2024. The economy is outperforming global averages, with Kenya's growth outpacing the projected **3.2% global GDP rate**.

48. Inflationary pressures eased with the overall annual inflation rate declining to 4.5% in 2024, down from 7.7% in 2023, the lowest in the last five years. However, high public debt remains a major concern. As of December 2024, Kenya's public debt reached USD 81.01 billion, with about 67.5% of government revenue allocated to debt servicing, significantly limiting funds available for budget deficits and development spending. Employment improved in 2024 with the creation of 782,300 new jobs, 90% of which were generated in the informal sector. Kenya's economy is however projected to remain resilient and stable in 2025, driven largely by a robust services sector and improved agricultural productivity.

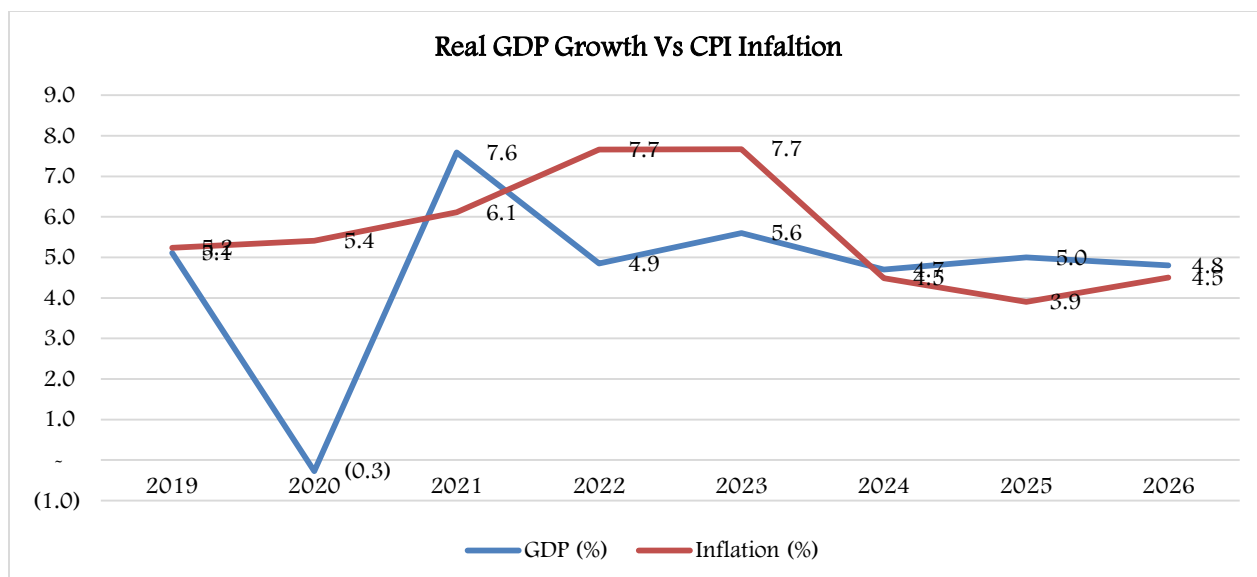
49. Tight monetary policy, elevated interest rates, and policy uncertainties moderated the growth of private consumption, the main driver of GDP growth. Private consumption, which accounts for nearly three quarters of GDP, grew by 6.9 percent in 2024, lower than 7.5 percent in 2023, in line with a decline in credit to private sector. However, robust growth in agriculture and robust growth of inward remittances (19 percent in 2024 from 3.9 percent in 2023) compensated for the weak outcome and supported households' consumption. Meanwhile, the contribution from investment remained sluggish in 2024, as reflected in low credit growth due to high real interest rates, subdued business sentiment occasioned by policy uncertainty amid social protests, and declining industrial production.
50. The economic deceleration was primarily driven by a decline in industrial production, while agriculture and services sectors demonstrated resilience. Activities in industry were constrained by a number of factors, such as the appreciation of the shilling, plummeting business sentiments, uncertainty following the mid-2024 protests, as well as the prevailing high real interest rates. These contributed to the slowdown of all industry subsectors in 2024, except manufacturing. Moreover, the slowdown in public-sector infrastructure projects and private-sector credit constrained growth in construction.
51. The subdued growth of industry was compensated for by resilience in agriculture and services. Although heavy rains and floods in some parts of the country in early 2024 led to loss of livestock and damage to croplands, favorable weather conditions in the remainder of the year and availability of inputs kept agriculture growth above the historical average. Growth in the services sector was driven by the resilience of the hospitality sub-sector, which benefited from several high-profile international conferences hosted in 2024, as well as by information and communication technology (ICT), and financial services.
52. The Kenya Economic Update, May 2025, projects real GDP growth at 4.5 percent in 2025 and 5.0 percent in 2026–27. This is a downward revision by 0.4 percentage points in 2025 from the December 2024 forecast, amid real interest rates which are still elevated relative to the historical average. The projected medium-term growth is in line with Kenya's potential growth (4.7 percent), which is above the Sub-Saharan

African average (4.2 percent). However, it is lower than the East African Community (EAC) peers' growth average (5.3 percent). Low inflationary pressures, easing monetary conditions, and a pickup in credit growth are expected to support household and business incomes, while projected fiscal consolidation is expected to free resources for private investment growth.

53. The current account deficit narrowed to 3.1 percent of GDP in the 12 months to February 2025 from 3.3 percent in 2024, driven by an improvement in exports of goods and services, and continued resilience of remittance inflows. Foreign direct investment (FDI) and other financial inflows grew alongside foreign exchange (forex) reserves, which remained above the four-month import cover threshold.
54. The government has projected sustained fiscal consolidation in the medium term. The fiscal deficit is projected to narrow from 4.3 percent of GDP in FY2025/26 to 3.5 percent in FY2026/27, sustaining a primary surplus of 1.7 percent of GDP on average during this period driven by contained spending and increased revenue collection. The government projects a decline in recurrent expenditure, while development expenditure is projected to gradually pick up to support the government's Bottom-up Economic Transformation Agenda (BETA), including affordable housing. Planned policies to support expenditure rationalization include continued containment of the wage bill, with the budgeted wages and salaries as a share of GDP projected to decline by 0.3 percentage points cumulatively in FY2025/26 and FY2026/27.
55. The government also plans to mobilize funds for planned major infrastructural projects through PPPs such as the Nairobi-Mombasa Expressway project in FY2025/26. However, despite a projected decrease in financing needs and interest rates, debt-servicing costs are projected to remain elevated, with interest payments expected to peak in FY2025/26 at 5.9 percent of GDP and decline to 5.4 percent of GDP in FY2026/27. The government plans to continue enhancing tax administration and collection of non-tax revenues from ministries, departments, and agencies. Subsequently, the stock of public debt is likely to reduce to 61.1 percent of GDP in FY2026/27. However, without sustained realization of set fiscal commitments, the target of achieving a present value of debt to GDP of 55 percent by 2029 could be missed.

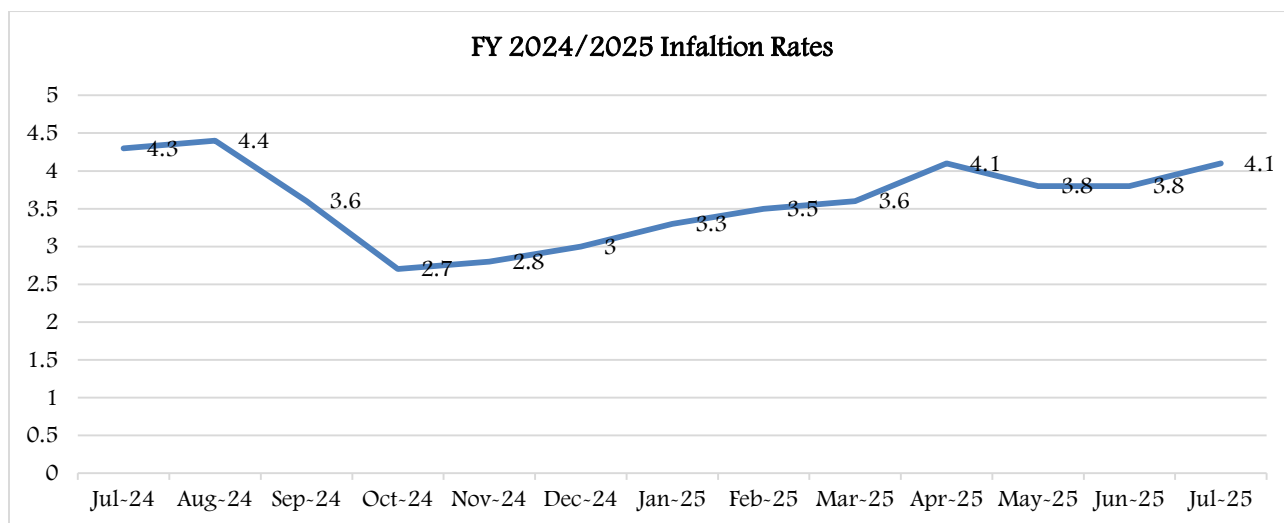
56. Inflation is expected to stay within the CBK target range as core inflation remains low, supporting an accommodative monetary policy stance. Lower inflationary pressures from declining international commodity prices and domestic food prices will continue to support lower real interest rates and boost private-sector credit. Additionally, projected resilience of remittance inflows, government revenue mobilization efforts, low fiscal deficits, and coordinated liability management are anticipated to keep the shilling stable. The fiscal deficit is expected to narrow to 5.0% of GDP while the public debt-to-GDP ratio is projected to decline toward the debt anchor of 55% as the government adheres to its fiscal consolidation path.
57. The current account deficit is expected to remain stable at 4.0 percent of GDP, supported by increasing exports of goods and services in the medium term as trade agreements are implemented, and global financial conditions ease further. Additionally, a projected robust growth in Kenya's key trading partners (Africa) and low international commodity prices will drive demand for Kenya's exports with resilience expected in agriculture. An anticipated stabilization in global growth in the medium term is expected to support resilience in diaspora remittances as well as a continued growth in tourism and transport receipts.
58. The estimated current account deficit is expected to be financed by a steady capital inflow, largely private inflows, as FDI and other private capital inflows recover, following easing global financial conditions. Government external borrowing is projected to be lower, in line with the declining fiscal deficit and the government's medium-term debt strategy.

Figure 12: Kenya's Economic Performance Over the Years



Source: Central Bank of Kenya (Website); ADB Country Focus Report, 2025

Figure 13: Monthly Trend in inflation rate



Source: KNBS CPI and Inflation Rates Report July, 2025

59. Despite improvements in Kenya's macroeconomic conditions, the country continues to face structural challenges, including insufficient job creation and low wages, especially among the youth. Efforts at fiscal consolidation have been undermined by revenue shortfalls and rising expenditure pressures, culminating in setbacks such as the rejection of the Finance Bill 2024 due to public concerns over its impact on the cost of living. This rejection resulted in a projected revenue shortfall of 1.6 percentage points of GDP for the 2024/25 fiscal year and reflected broader issues of declining public trust in the government's fiscal management.

60. These developments underscore the urgent need for a more transparent, inclusive, and equitable fiscal policy framework that not only restores public confidence but also ensures that the costs and benefits of government taxation and spending are shared fairly across society. This edition's special focus examines how fiscal policy affects poverty and inequality, highlighting the impact across population groups. The analysis underscores the need for a more equitable approach to ensure fair distribution of the burdens and benefits of taxation and public spending.

61. Institutional and governance reforms to improve capital mobilization and public spending efficiency may include strengthening judicial independence, enforcing contracts, increasing transparency for investor confidence, and expanding public-private partnerships. They may also include curbing illicit financial flows, resource theft, and corruption through stricter anti-money laundering frameworks and regional cooperation. Reforms to stabilize tax policies, enhance property rights, and removing harmful tax waivers will create fiscal space, while targeted investments in education, health, and innovation will unlock sustainable development potential.

3.5 County Economic Outlook

62. According to the Gross County Product 2024, Machakos County was the sixth largest economy with a GCP of 3.2% after Nairobi (27.5), Kiambu (5.6), Nakuru (5.2), Mombasa (4.8) and Meru (3.4).

63. The County's share of Gross County Product averaged at 3.2% in 2023 which was attributed to growth in manufacturing (7.8%) due to the hosting of Export Processing Zones in Athiriver- Mavoko Sub-County; other industry activities like mining & quarrying, construction etc (4.4%); Service activities (2.6%); Agriculture, Forestry & Fishing (2.2%). Table 11 and figure 15 below presents the County's growth trends over a five-year period.

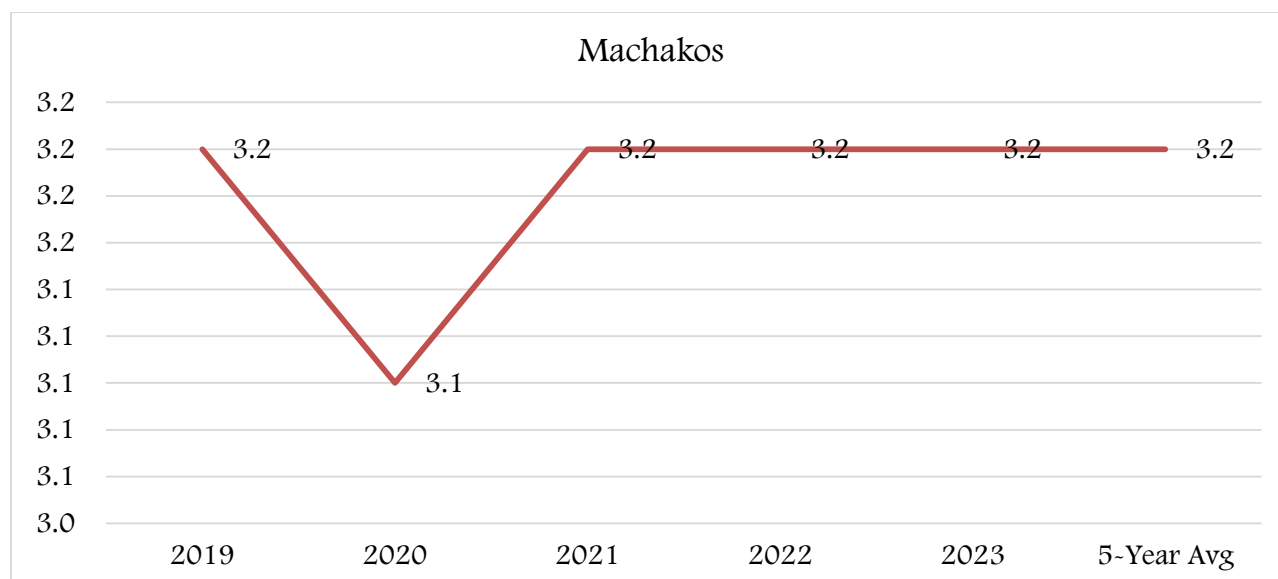
Table 8: Machakos County GCP

Year	County Share of GCP (%)	GCP at Current Prices (Millions)	GCP at Constant (2016) Prices (Millions)	GCP Per Capita
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2018	3.3	281,481	261,484	204,049
2019	3.2	295,593	264,352	207,881
2020	3.1	309,164	265,124	214,441
2021	3.2	349,706	292,300	240,007
2022	3.2	391,468	300,802	265,869
2023	3.2	445,787	320,405	299,637

Source: KNBS, GCP 2024

Figure 14: Five-Year Machakos Gross County Product



64. The major economic activities contributing to the County's growth include: Manufacturing; Agriculture, Forestry and Fishing; Wholesale and retail trade; Construction; Real estate and Transport as shown in table 12 and figure 16 below.

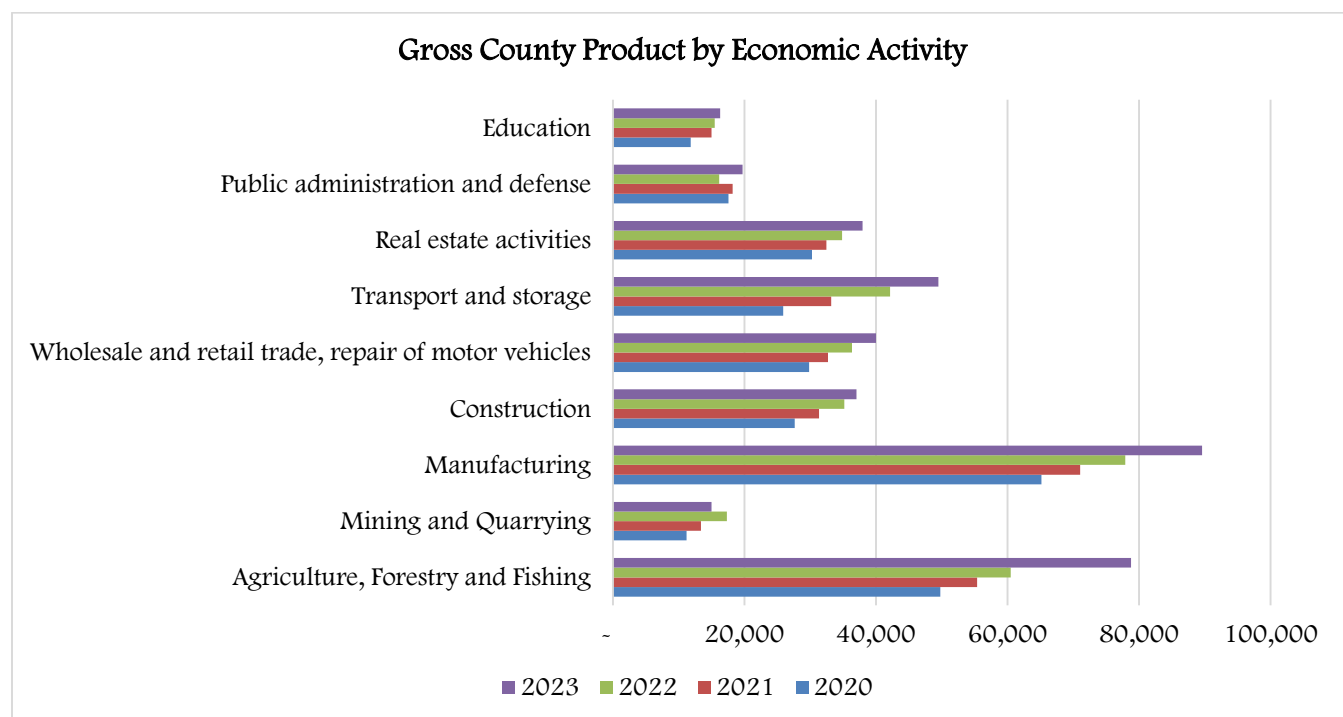
Table 9: Machakos County GCP by Economic Activity

Economic Activity	GCP Prices 2020(Millions)	GCP Prices 2021(Millions)	GCP Prices 2022(Millions)	GCP Prices 2023(Millions)
Agriculture, Forestry and Fishing	49,794	55,366	60,491	78,757
Mining and Quarrying	11,205	13,385	17,319	15,025
Manufacturing	65,180	71,051	77,889	89,563
Electricity Supply	2,740	3,942	8,408	9,590
Water supply, waste collection	1,361	1,422	1,362	1,315
Construction	27,664	31,373	35,180	37,049
Wholesale and retail trade, repair of motor vehicles	29,827	32,691	36,361	40,004
Transport and storage	25,912	33,186	42,137	49,488

Economic Activity	GCP Prices 2020(Millions)	GCP Prices 2021(Millions)	GCP Prices 2022(Millions)	GCP Prices 2023(Millions)
Accommodation and food service activities	2,437	4,185	4,566	5,973
Information and communication	8,028	8,400	9,181	9,792
Financial and insurance activities	4,926	6,027	7,031	8,252
Real estate activities	30,279	32,468	34,874	37,986
Professional and technical services	6,434	7,231	7,605	8,314
Administrative support services	3,274	3,731	4,612	5,460
Public administration and defense	17,587	18,207	16,187	19,700
Education	11,821	14,996	15,498	16,319
Human health and social work activities	4,766	5,430	5,492	5,733
Other service activities	7,753	8,684	9,472	10,205

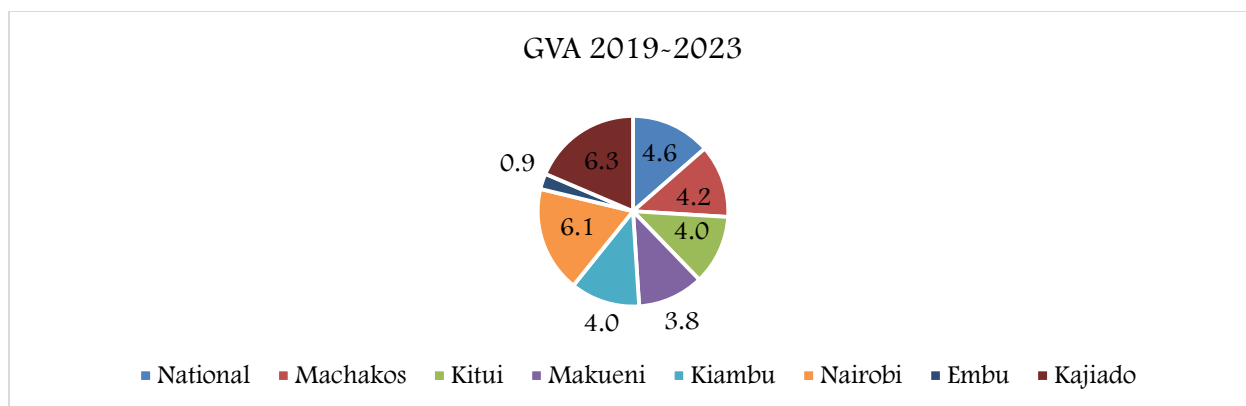
Source: KNBS, GCP 2024

Figure 15: Major GCP contribution by Economic Activity



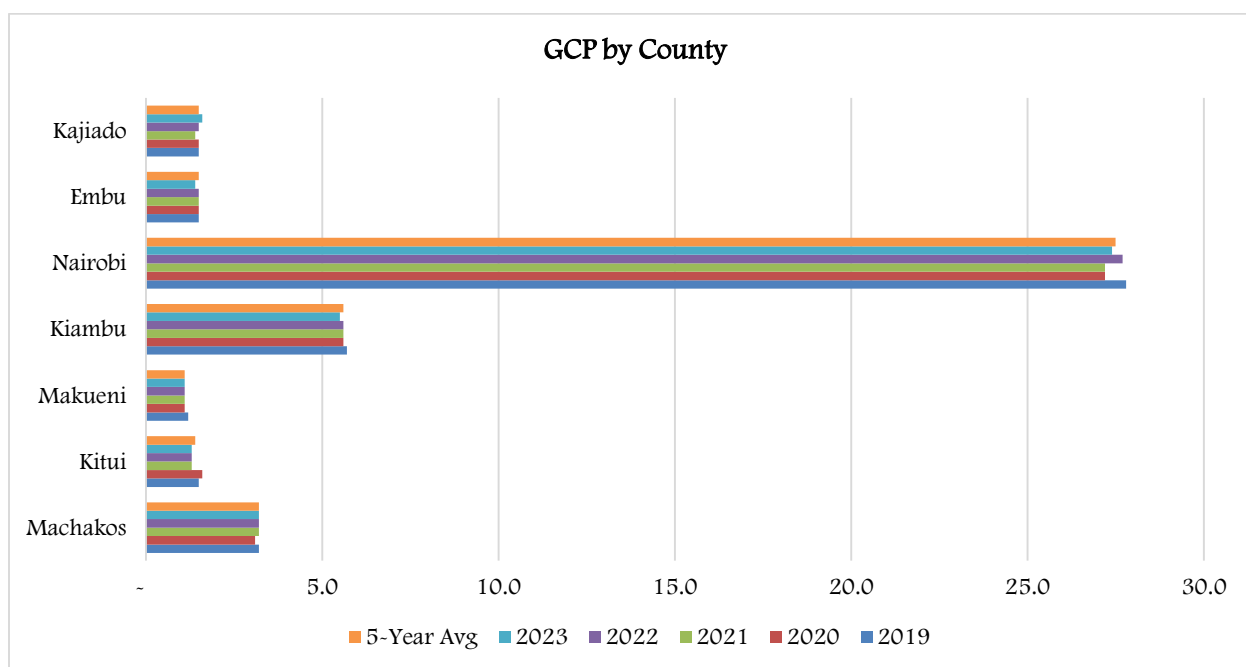
65. The county's average growth in real GCP relative to the total economy's growth in GVA was 4.2% against the national 4.6% as presented in figure 17 below

Figure 16: Average growth in Real GCP



66. Comparatively, the County performs well among its neighbours at position 3 with a GCP of 3.2 compared to Nairobi (27.5), Kiambu (5.6), Embu (1.5), Kajiado (1.5), Kitui (1.4) and Makueni (1.1) as illustrated in figure 18 below.

Figure 17: Machakos County Economic Performance Comparative to its Neighbours



Source: KNBS, GCP 2024

3.6 Risks to the Economic Outlook and Policy Recommendations

67. The global economy faces a myriad of risks that could significantly impact businesses and markets worldwide. These include;

- i. Geopolitical Tensions: Ongoing conflicts and rivalries, particularly between the U.S. and China, could disrupt trade and investment while the Russia-Ukraine war has significantly disrupted the global economy, exacerbating inflation, food insecurity and economic instability worldwide. At the same time, the economic consequences of Israel-Hamas conflict include **trade disruptions, energy price fluctuations, and regional turmoil**. Besides destabilizing the Middle East especially Lebanon, Yemen and Iran, the conflict has had major adverse effects on global markets.
- ii. Protectionist Policies: The incoming of Trump administration's anticipated tariffs may lead to increased trade barriers and retaliatory measures.
- iii. Inflationary Pressures: Persistent inflation could challenge economic stability and consumer purchasing power.
- iv. Supply Chain Disruptions: Continued supply chain challenges may hinder production and increase costs.
- v. Cybersecurity Threats: The rise in digital reliance exposes businesses to significant cybersecurity risks.
- vi. Labor Market Challenges: Skills shortages and changing work-force dynamics could impact productivity and growth.
- vii. Climate Change Impacts: Extreme weather events and regulatory changes related to climate could disrupt industries.
- viii. Financial Market Volatility: Economic uncertainties may lead to increased volatility in financial markets.
- ix. Technological Disruption: The rapid advancement of AI and automation could displace jobs and alter market dynamics.
- x. Regulatory Changes: Stricter regulations in various sectors may require businesses to adapt quickly.
- xi. Emerging Market Vulnerabilities: Economic instability in emerging markets could pose risks to global financial systems.
- xii. Public Health Risks: The potential for new health crises could disrupt economic activity and strain resources.

68. The potential downside risks on the African region include Trade tariffs and policy uncertainty which could affect growth directly through reduced business and economic activity and indirectly through financial and investment channels by

reducing investors' risk appetite and leading to a reversal of capital flows; Persistent inflationary pressures reflecting deep-seated domestic supply bottlenecks and weakened monetary policy impact to rein in supply-driven inflationary pressures- could dampen the projected growth rebound.; High interest rates and debt service costs; Commodity dependence and price volatility and climate shocks.

69. An escalation of the conflict in the Middle East could exacerbate food insecurity in SSA, especially by disrupting supply chains, leading to less affordable food and an uptick in malnutrition rates in the region. Similarly, an intensification of the conflict in Sudan could raise food prices, at least in parts of SSA, as a result of reduced supply and higher transportation costs. The SSA region also remains highly vulnerable to extreme weather events linked partly to climate change. An increase in the frequency or severity of droughts or floods would tend to exacerbate poverty in many countries across SSA.
70. Locally, Kenya's outlook faces upside risks from stable weather, improved macroeconomic conditions, lower lending rates, reduced global oil prices, and the full implementation of fiscal consolidation reforms to enhance development spending, broaden the tax base, and boost growth.
71. Kenya faces several downside risks, including potential declines in global aid and escalating trade tensions (*like suspended aid programs like the President's Emergency Plan for AIDS Relief have disrupted health services, causing layoffs and funding shortfalls*); regional geopolitical instability, particularly spillovers from Ethiopia and Somalia that could adversely impact trade and security; fiscal slippages due to possible reversals on tax reforms and ongoing debt vulnerabilities; climate-related pressures such as food price increases caused by recurring droughts and floods that disrupt agriculture and infrastructure; and high business costs that may hamper productivity, especially in the industrial and agricultural sectors. However, effective implementation of the BETA strategy, which focuses on inclusive growth and resilience could help mitigate these risks and support economic stability and growth in the medium term.

72. The youth-led protests in 2024 driven by Gen Z rage reflected deep frustrations over the rising cost of living, unemployment, police brutality and a perceived lack of accountability in governance. These demonstrations became an avenue of destruction and losses by looting of business premises and property of immense value being destroyed; economic disruption especially in the trade, transport and tourism sectors while investor confidence dipped. The overall effect of the demonstrations was the withdrawal of the Finance Bill hence affecting the shareable revenue to County Governments.

73. Some of the strategies to mitigate the economic risks include; Diversification of investments to minimize exposure to localized risks; Monitoring of geopolitical developments to anticipate market shifts and adapt investment strategies; Focus on resilience by investing in infrastructure and technologies that withstand climate related risks; Adopt fiscal discipline to reduce debt levels and control public spending to safeguard economies from future crises; promote green initiatives by supporting renewable energy projects not only to address environmental concerns but also to open up new investment opportunities.

74. For resilience, Kenya is diversifying trade through the African Continental Free Trade Area (AfCFTA), boosting domestic manufacturing, implementing revenue reforms, attracting private capital through public-private partnerships (PPPs), and investing in digital infrastructure. Kenya is pursuing new partnerships with China on infrastructure, security, and technology. Key policy priorities include building fiscal buffers from oil savings, leveraging diaspora financing, and expanding renewable energy to reduce oil dependency and enhance long-term economic stability.

3.7 County Specific Risks

i. National Economic Performance

75. A higher percentage of the County's budget is financed by the equitable share from the national government. This is dependent on the national government's ability to achieve its annual revenue targets. Occurrence of either internal or external economic shocks will have a negative impact on the performance of the County since it will affect National Government allocations to the County.

Mitigation measures: The County needs to develop and implement innovative mechanisms to increase its local revenue while at the same time ensuring austerity in public spending. There is need to reduce over reliance on National Government equitable share through initiation of bankable projects to meet its demand for service delivery especially in the infrastructure.

ii. Low Own Source Revenue Collections

76. Underperformance of revenue collection has continued to be a major challenge towards achieving the development agenda of the County. There is need to place sound policies and strategies that will guarantee optimum revenue collection to meet the anticipated budgetary requirements. Revenue collection should not only be strengthened in the traditional revenue streams but explore new avenues for revenue collection. This therefore calls for increased budgetary provision to invest in revenue collection channels and processes to enhance overall collection.

Mitigation measures: The county has acquired a new revenue management system which will enhance full automation of revenue streams. This will be complemented by the implementation of the valuation roll which is expected to increase the number of ratable parcels hence increased revenue collections.

iii. High Wage Bill

77. Regulation 25 (1) (b) of the PFM (County Governments) requires that County wage bill shall not exceed 35% of the total revenue. The continued increase in the wage bill has arisen due to factors which are beyond the County Government. The County is disadvantaged by the current revenue distribution formula, which takes no account of inherited non-discretionary devolved costs. Similarly, the County inherited staff from the local authorities, while health workforce expenditure on compensation of employees constitutes 51% of the total County's wage bill

Mitigation measures: The County has put in place measures to reduce its wage bill through; rationalization of staff establishment by aligning deployment with priority functions to minimize duplication and reduce non-core wage obligations; aggressive revenue mobilization strategies to expand the available

wage bill within the ceiling; expenditure rationalization by suspending non-essential hiring pending fiscal adjustments and consideration of phased implementation of new recruitments/promotions.

iv. Pending Bills

78. Pending bills poses a significant economic and fiscal policy challenge for the County Government. These obligations exert pressure on current financial resources, thereby constraining the implementation of planned development programmes and projects.

Mitigation measures: Accumulation of pending bills has been attributed to the county not meeting its revenue targets. Full automation of revenue streams through the new revenue management system and implementation of the approved valuation roll offers a solution to this perennial risk.

v. Unpredictable Weather

79. The impact of climate change adversely affects agricultural production and result to domestic inflationary pressures and food insecurity.

Mitigation measures: The county has embarked on extensive water programme through construction of dams and drilling of boreholes. This is aimed at increasing irrigation uptake and reduce dependence on rain fed agriculture.

3.8 Economic Assumptions to the Outlook

- i. County revenue sharing formulae will not change during MTEF Period and there will be steady increase in the equitable share;
- ii. There county will meet its targets on Own Source Revenue;
- iii. There will be austerity measures on the expenditure;
- iv. There will be no anticipated major disaster prevalence within the MTEF period;
- v. There will be political stability within the period;
- vi. There will be no anticipated international security advisories that will affect the economy;
- vii. Timely release of funds by the National Government; and

- viii. There will be no adverse weather conditions that will affect agricultural sector and businesses.

CHAPTER FOUR

4.0 RESOURCE ALLOCATION FRAMEWORK

4.1 Implementation of the FY 2025/2026

80. Implementation of the FY 2025/2026 budget has been delayed by the late approvals of expenditure by the Office of the Controller of Budget. This is however expected to be regularized as we move into the second quarter of the financial year. The Medium-Term Fiscal Framework (MTFF) for the FY 2025/2026 emphasizes on efficiency and effectiveness of public spending and improving revenue collection to stimulate and sustain economic activities.

81. The County Treasury projects its revenues for FY 2025/2026 at Kshs. 15.2 billion. This will comprise Equitable Share of Kshs.10 billion, Additional Allocations Kshs. 1.1Billion, and Own Source Revenue of Kshs. 4.1billion representing 66%, 7%, 27% of the total revenue respectively. Tables 13 and 14 below gives the breakdown of County revenue sources and the expenditure allocations for the FY 2025/2026.

Table 10: Revenue Vs Expenditure Allocations

	Actual Expenditure FY 2023/2024	Revised Estimates FY 2024/2025	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	% Allocation
Total Revenue	12,812,761,825	15,622,164,355	12,967,367,441	15,193,585,721	100
Equitable Share	10,239,597,083	9,597,223,940	9,597,222,939	10,027,000,000	66
Unspent Balances FY 2023/2024		783,851,812	783,851,812	-	
Equalization Fund	-	12,923,347	-	-	
Unconditional Grants	-	16,053,513	-	1,617,189	0
Conditional Grants	1,023,816,263	1,286,318,677	404,457,376	1,074,193,416	7
Hospital Revenues	204,409,376	903,877,867	755,682,847	997,846,534	7
Own Source Revenue	1,344,939,102	3,021,915,199	1,426,152,468	3,092,928,582	20
Total Expenditure	12,458,451,500	15,622,164,356	11,693,093,801	15,193,585,722	100
Recurrent Vote	9,506,985,069	10,874,415,758	9,552,212,021	10,597,208,591	70
Compensation to Employees	6,286,026,135	6,698,764,221	6,395,358,649	6,527,713,824	43
Use of Goods and Services	3,187,569,007	3,992,848,024	3,156,853,371	3,892,310,168	26
Current Grants	33,389,927	182,803,513	-	177,184,599	1
Development Vote	2,951,466,431	4,747,748,598	2,140,881,780	4,596,377,131	30
Acquisition of Non-Financial Assets	2,198,426,026	3,669,262,672	1,846,384,957	3,697,751,125	24
Capital Grants	753,040,405	1,078,485,926	294,496,823	898,626,006	6

Source: Machakos County Treasury, 2025

Table 11: FY 2025/2026 Allocation by County Entity

County Entity	Compensation of Employees	Use of Goods and Services	Current Grants	Acquisition of Non-Financial Assets	Capital Grants	Total Allocation	% Allocation
Office of the Governor	190,888,808	593,219,568		22,926,329		807,034,705	5.3
County Public Service Board	35,955,418	7,320,683		7,404,438		50,680,539	0.3
Roads, Transport and Public Works	184,879,278	82,000,000		1,047,814,832	111,125,100	1,425,819,210	9.4
County Assembly	543,435,337	424,422,659		155,000,000		1,122,857,996	7.4
Agriculture, Food Security and Co-operative Development	231,622,973	18,562,806		165,517,005	163,777,590	579,480,374	3.8
Health	3,401,357,497	717,298,680	83,250,000	477,698,792	43,548,750	4,723,153,719	31.1
Water, Irrigation, Environment and Climate Change	102,680,821	27,040,000	11,000,000	519,548,294	137,500,000	797,769,115	5.3
Finance, Economic Planning & Revenue Management	572,126,257	637,851,979	1,617,189	537,153,765		1,748,749,190	11.5
Gender, Youth, Sports & Social Welfare	57,025,097	151,998,701		282,857,555		491,881,353	3.2
Trade, Industry, Tourism and Innovation	72,537,726	96,863,597		152,030,496		321,431,819	2.1
Education	390,573,068	415,050,000		107,200,939		912,824,007	6.0
Lands, Urban Development, Housing & Energy	121,611,325	96,700,353	43,817,410	141,054,547	90,174,566	493,358,201	3.2
Devolution	599,966,440	587,981,142	37,500,000	77,841,913	352,500,000	1,655,789,495	10.9
Office of the County Attorney	23,053,779	36,000,000		3,702,219		62,755,998	0.4
TOTAL	6,527,713,824	3,892,310,168	177,184,599	3,697,751,124	898,626,006	15,193,585,721	100
Fiscal Responsibility	43	26	1	24	6	100	

Source: Machakos County Treasury, 202

4.2 Medium Term Expenditure Framework

82. The 2025/2026-2027/2028 MTEF builds up on the National Government's efforts to stimulate and sustain economic activity through BETA. The document is framed against a backdrop of global economic slowdown occasioned by the ongoing Russia-Ukraine conflict, elevated global inflation, lingering effects of the COVID-19 pandemic, persistent supply chain disruptions, food security and climate change effects.
83. The fiscal policy for the FY 2026/2027 and the medium thus aims at supporting programmes that will accelerate the transformation agenda of the county government in making Machakos the place to invest through a fiscal consolidation plan aimed at slowing down the growth in pending bills without affecting service delivery.
84. To this end the county will embark on a robust revenue mobilization while also looking for opportunities for alternative sources of finance especially through Public-Private Partnerships. The County will continue to undertake revenue administration reforms including full automation of its revenue streams through the new revenue management system and implementation of the valuation roll.
85. On the expenditure side the government will sustain the efforts to improve efficiency in public spending and ensure that the County residents get value for money. These measures will include phasing out of all non-priority expenditures, and rolling out e-procurement. These reforms are expected to stimulate and sustain economic activity and reposition Machakos on a sustainable and growth pattern.
86. The County Government is operating under a constrained fiscal environment alongside the unlimited needs. In this regard, the principles of efficiency, effectiveness and economy of public spending shall strictly be enforced by ensuring low-priority expenditures give way to high-priority service delivery programs. County Entities should, therefore, eliminate wasteful expenditures and pursue priorities that aim to safeguard livelihoods, create jobs, revive businesses, and promote economic recovery. The departments and spending units are also expected to ensure that all expenditure items in the FY 2026/2027 Budget are justified, and that emphasis is placed on allocating

limited resources based on program efficiency and requirements rather than incremental budgeting.

87. The following will therefore serve as the criteria to guide the prioritization and final allocation of resources:

- i. Projects and Programmes identified in the Annual Development Plan 2026/2027 and CIDP 2023-2027 that are aligned with BETA priorities and Medium-Term Plan IV of Vision 2030;
- ii. Completion of ongoing projects, stalled projects and payment of verified eligible pending bills;
- iii. The Governor's Manifesto, including directives and cabinet decisions;
- iv. Cost effectiveness, efficiency and sustainability of the programmes/projects;
- v. Degree to which the programmes address the strategic objectives of the County;
- vi. Degree to which the programmes address the core function and responsibilities of the county entity; and
- vii. Requirements for the furtherance and implementation of the Constitution of Kenya.

88. Based on the above broad guidelines, county entities are expected to develop and document sector-specific criteria for prioritization and resource allocation within the resource envelope. The medium-term expenditure framework is thus presented in Annexes 1-6

89. To facilitate the finalization and approval of the 2025 CBROP and other policy documents within the stipulated timelines, County Entities are required to strictly undertake the activities outlined in the Budget Calendar within the set timeframes. The Budget Calendar provided in Annex 8 outlines the timeframes for delivery of policy documents, reports and relevant Bills.

4.3 Public Participation and Involvement of Stakeholders

90. As required by the Public Finance Management (PFM) Act, 2012, this County Budget Review and Outlook Paper has been shared with various stakeholders and the public for comments before its finalization.

ANNEXES

Annex 1: Resource Envelope in the Medium Term

Description	Revised Estimates FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Equitable Share	9,597,223,940	10,027,000,000	10,027,000,000	10,027,000,000
Equalization Fund	12,923,347			
Return to CRF	783,851,812			
Court Fines	16,053,513	1,617,189	1,617,189	1,617,189
Total Unconditional Grants	16,053,513	1,617,189	1,617,189	1,617,189
Community Health Promoters Project	83,250,000	83,250,000	83,250,000	83,250,000
Aggregated Industrial Parks	186,000,000			
Road Maintenance Levy Fund	111,125,100	111,125,100	-	
County Rural & Urban Affordable Housing Committee		8,817,410		
Kenya Devolution Support Project (KDSP I) – World Bank	58,417,280			
Kenya Devolution Support Project (KDSP II Level 2) – World Bank	37,500,000	37,500,000	37,500,000	37,500,000
Kenya Devolution Support Project (KDSP II Level 1) – World Bank		352,500,000	352,500,000	352,500,000
Kenya Urban Support Project (UIG)-World Bank	35,000,000	35,000,000	35,000,000	35,000,000
Kenya Urban Support Project (UDG)-World Bank	179,392,140	90,174,566	90,174,566	90,174,566
Universal Healthcare in Devolved Context (PHCDC)-DANIDA L2&3	12,250,425	8,820,000	11,943,750	11,943,750
Universal Healthcare in Devolved Context (PHCDC)-DANIDA L1 FY 2025/2026		8,636,250		
Universal Healthcare in Devolved Context (PHCDC)-DANIDA L1 FY 2024/2025		3,123,750		
Universal Healthcare in Devolved Context (PHCDC)-DANIDA L2&3 FY 2024/2025		8,820,000		
Universal Healthcare in Devolved Context (PHCDC)-DANIDA L2&3 FY 2023/2024		11,025,000		
Universal Healthcare in Devolved Context (PHCDC)-DANIDA L1 FY 2023/2024		3,123,750		
National Agricultural Value Chain Development Project-World Bank	151,515,152	151,515,152	151,515,152	151,515,152
Emergency Locust Response Project-World Bank	104,600,000			
Kenya Agricultural Business Development Project-Sweden	10,918,919			
Aquaculture Business Development Program-IFAD	12,262,438	12,262,438	12,262,438	12,262,438
Financing Locally-Led Climate Change Action Program (FLLoCA) County Climate Resilience Investment-World Bank	234,440,930	137,500,000	137,500,000	137,500,000
Financing Locally-Led Climate Change Action Program (FLLoCA) County Climate Institutional Support-World Bank	11,000,000	11,000,000	11,000,000	11,000,000
Basic Salary Arrears for Health Workers	58,646,293			
Total Conditional Grants	1,286,318,677	1,074,193,416	922,645,906	922,645,906
Hospital Revenues (FIF)	903,877,867	997,846,534	970,531,578	964,928,493
Own Source Revenue	3,021,915,199	3,092,928,582	3,121,962,458	3,154,158,705
Total County Budget	15,622,164,355	15,193,585,721	15,043,757,131	15,070,350,293

Annex 2: Own Source Revenue in the Medium Term

Revenue Stream	Target FY 2023/2024	Target FY 2024/2025	Printed FY 2025/2026	Projected FY 2026/2027	Projected FY 2027/2028
Land Rates & Ground Rent	468,920,046	441,415,053	517,340,923	519,075,016	520,982,517
Single Business Permit	419,583,703	300,606,861	539,452,988	541,398,287	542,538,115
Quarry Extraction Fees	336,215,218	458,892,708	316,420,844	318,062,929	319,869,222
Sand Gravel	59,346,409	114,665,608	65,555,834	67,111,418	70,822,559
Market Fees	29,605,554	100,610,377	120,682,652	122,750,917	123,026,009
Plot/Stall Rent	7,341,971	17,594,199	16,750,844	18,425,928	20,268,521
Bus park	216,175,390	435,549,647	273,209,237	274,530,161	276,983,177
House Rent	4,081,806	3,882,156	2,707,051	2,977,756	3,275,532
Refuse/Conservancy Fee	64,959,140	30,249,053	38,325,336	40,157,870	41,173,657
Sign Board & Advertisement Fee	137,136,697	117,013,656	178,970,968	180,868,065	181,954,872
Fire Fighting & Ambulance Mgt Unit	29,262,977	32,235,653	25,203,242	27,723,566	30,495,923
Slaughter House Fees/Livestock	23,046,563	73,699,829	42,701,743	43,971,917	44,369,109
Enforcement Management	16,848,297	23,939,332	11,535,253	12,688,779	13,957,657
Off-street Parking Unit	37,136,510	561,416,781	33,699,041	35,068,945	38,575,840
Building Plan Approvals	274,243,923	184,312,666	438,485,260	439,333,786	441,267,164
Cess	31,944,013	2,026,820	89,330,223	91,263,245	92,389,570
Social Services	697,225		2,974,149	3,271,564	3,598,720
Water Sales	1,624,469	606,780	745,855	820,441	902,485
People's Park/Maruba	2,131,380	4,824,709		-	-
House Loan Repayment	275,695		239,716	263,687	290,056
Salary Refunds/Advances	5,425,043	2,257,167	398,752	438,628	482,490
Agri Farm	1,093,416		250,792	275,871	303,459
Health Revenue	1,008,000,000	903,877,867	997,846,534	970,531,578	964,928,493
Liquor	127,215,268	71,649,216	252,343,494	254,577,843	256,035,628
Tourism	586,129	969,867	1,496,574	1,646,232	1,810,855
Interest & Penalties on Plot and Stall Rent	437,510	406,229	120,075,175	122,082,690	125,290,959
Noise Pollution	864,458	3,363,781	304,664	335,130	368,643
Motor Cycle Registration	25,996,235	10,787,664	710,784	781,862	860,049
Weights and Measures	2,091,014	10,551,153	1,872,659	2,059,925	2,265,917
Asset Disposal	100,000,000	-	1,144,529	-	-
Court Fines	-	18,388,233	-	-	-
Total	3,432,286,059	3,925,793,065	4,090,775,116	4,092,494,036	4,119,087,198

Source: Machakos County Treasury, 2025

Annex 3: Medium Term Expenditure by County Entity

County Entity		Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Office of the	Recurrent	596,053,066	784,108,377	784,108,377	784,108,377

County Entity		Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Governor	Development	7,531,248	22,926,329	4,626,327	14,937,481
	Total	603,584,314	807,034,706	788,734,704	799,045,858
County Public Service Board	Recurrent	35,209,897	43,276,101	43,276,101	43,276,101
	Development	-	7,404,438	5,000,000	5,500,000
	Total	35,209,897	50,680,539	48,276,101	48,776,101
Roads, Transport and Public Works.	Recurrent	250,006,564	266,879,278	268,601,939	267,980,696
	Development	457,493,327	1,158,939,932	983,072,217	1,085,410,675
	Total	707,499,891	1,425,819,210	1,251,674,156	1,353,391,371
Health	Recurrent	4,211,857,057	4,201,906,177	4,117,154,467	4,173,576,700
	Development	261,107,479	521,247,542	515,962,416	545,018,345
	Total	4,472,964,536	4,723,153,719	4,633,116,883	4,718,595,045
County Assembly	Recurrent	924,156,118	967,857,996	964,156,126	969,156,126
	Development	43,341,639	155,000,000	160,250,000	160,525,000
	Total	967,497,757	1,122,857,996	1,124,406,126	1,129,681,126
Water, Irrigation, Environment and Climate Change	Recurrent	131,566,375	140,720,821	144,155,733	154,889,377
	Development	58,601,308	657,048,295	673,913,929	536,683,504
	Total	190,167,684	797,769,116	818,069,662	691,572,881
Agriculture, Food Security and Co- operative Development.	Recurrent	271,361,918	250,185,779	266,249,156	268,549,389
	Development	95,467,748	329,294,596	329,801,546	362,611,248
	Total	366,829,666	579,480,375	596,050,702	631,160,637
Finance, Economic Planning and Revenue Management	Recurrent	1,053,486,205	1,211,595,425	1,234,584,196	1,214,004,767
	Development	577,897,174	537,153,765	566,402,570	580,821,609
	Total	1,631,383,379	1,748,749,190	1,800,986,766	1,794,826,376
Gender, Youth, Sports and Social Welfare.	Recurrent	126,305,222	209,023,798	209,731,166	212,389,381
	Development	56,789,749	282,857,555	283,260,896	312,111,986
	Total	183,094,971	491,881,353	492,992,062	524,501,367
Trade, Industry, Tourism and Innovation.	Recurrent	136,010,000	169,401,323	163,552,638	162,290,282
	Development	180,281,078	152,030,496	222,202,415	200,477,206
	Total	316,291,078	321,431,819	385,755,053	362,767,488
Education	Recurrent	670,169,503	805,623,068	785,893,023	769,814,970
	Development	66,885,507	107,200,939	111,817,787	111,817,786
	Total	737,055,009	912,824,007	897,710,810	881,632,756
Lands, Urban Development, Housing and Energy.	Recurrent	167,519,766	262,129,087	283,032,605	286,533,510
	Development	95,396,365	231,229,113	239,725,750	235,077,021
	Total	262,916,131	493,358,200	522,758,355	521,610,531
Devolution	Recurrent	1,207,710,290	1,225,447,582	1,210,798,416	1,185,579,612
	Development	42,763,055	430,341,912	412,091,286	365,113,227
	Total	1,250,473,345	1,655,789,494	1,622,889,702	1,550,692,839
County Attorney	Recurrent	82,473,782	59,053,779	55,336,050	57,095,918
	Development	-	3,702,219	5,000,000	5,000,000
	Total	82,473,782	62,755,998	60,336,050	62,095,918
Total Recurrent		9,863,885,762	10,597,208,591	10,530,629,993	10,549,245,206
Total Development		1,943,555,678	4,596,377,131	4,513,127,139	4,521,105,088
Total Budget		11,807,441,440	15,193,585,722	15,043,757,132	15,070,350,294

Source: Machakos County Treasury, 2025

Annex 4: Expenditure by Programme in the Medium Term

a) Recurrent Expenditure

County Entity/ Programme	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
OFFICE OF THE GOVERNOR				
Coordination and Supervisory Services	298,583,864	337,860,591	337,860,591	337,860,591
Transport Services	47,411,463	73,214,790	73,214,790	73,214,790
Human Resource and Administration Services	61,389,833	71,633,109	71,633,109	71,633,109
ICT Services		52,245,915	52,245,915	52,245,915
Hospitality Services	47,462,784	50,342,682	50,342,682	50,342,682
Cabinet Office	9,655,401	17,005,239	17,005,239	17,005,239
Office of the Deputy Governor	63,199,661	84,902,064	84,902,064	84,902,064
Office of the County Secretary	34,494,482	49,816,785	49,816,785	49,816,785
Office of the County Advisors	33,855,577	47,087,202	47,087,202	47,087,202
TOTAL	596,053,066	784,108,377	784,108,377	784,108,377
COUNTY PUBLIC SERVICE BOARD				
Human Resource and Administration Services	35,209,897	43,276,101	43,276,101	43,276,101
TOTAL	35,209,897	43,276,101	43,276,101	43,276,101
ROADS, TRANSPORT AND PUBLIC WORKS				
General Administration and Support Services	234,590,518	189,679,278	183,553,834	191,315,226
Road Development and Management	866,400	700,000	735,000	771,750
County Government Building Services	14,549,646	6,000,000	10,288,105	5,622,750
County Fleet Management		70,500,000	74,025,000	70,270,970
TOTAL	250,006,564	266,879,278	268,601,939	267,980,696
HEALTH				
General Administration and Support Services	3,524,355,023	3,464,961,497	3,499,763,502	3,499,216,586
Machakos Level 5	244,867,885	153,094,680	151,337,630	220,792,728
Kangundo Level 4	44,900,000	59,100,000	51,555,000	57,218,994
Matuu Level 4	37,792,584	54,500,000	50,325,000	58,241,250
Kathiani Level 4	46,000,000	49,500,000	47,075,000	61,703,750
Mwala Level 4	31,500,000	42,500,000	37,675,000	38,908,750
Kimiti Level 4	26,345,758	32,500,000	31,625,000	32,806,250
Masinga Level 4	31,150,000	25,600,000	26,480,000	37,404,000
Athi River Level 4	19,900,000	32,500,000	34,125,000	35,831,250
Mutituni Level 4	19,499,950	22,500,000	23,225,000	23,986,250
Ndithini Level 4	18,680,295	21,500,000	22,575,000	23,703,750
Kalama Level 4	23,450,000	18,500,000	17,175,000	22,371,250
Public Health	143,415,562	225,150,000	124,218,335	61,391,892
TOTAL	4,211,857,057	4,201,906,177	4,117,154,467	4,173,576,700
COUNTY ASSEMBLY				
Legislative Services	924,156,118	967,857,996	964,156,126	969,156,126
TOTAL	924,156,118	967,857,996	964,156,126	969,156,126
WATER, IRRIGATION, ENVIRONMENT AND CLIMATE CHANGE				
Water Resources Management	99,902,247	86,714,346	93,592,885	97,542,819
Sewerage and Sanitation Management	4,648,758	14,540,276	15,545,535	16,870,312
Development and Promotion of Irrigation Schemes	2,551,091			
General Administration and Support Services			2,314,698	11,643,162
Environment and Natural Resources	11,813,988	10,945,370	14,682,853	10,000,000

County Entity/ Programme	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Climate Change	12,650,291	28,520,829	18,019,762	18,833,084
TOTAL	131,566,375	140,720,821	144,155,733	154,889,377
AGRICULTURE, FOOD SECURITY AND CO-OPERATIVE DEVELOPMENT				
General Administration and Support Services	241,024,559	151,799,534	166,686,556	166,813,420
Crop Development and Management		1,500,000	1,039,500	1,091,475
Livestock Resources Management and Development		68,734,382	71,793,101	75,217,381
Fisheries Development		1,000,000	808,500	848,925
Veterinary Services		2,500,000	2,362,500	2,480,625
Agriculture Training Centre		1,500,000	1,312,500	1,378,125
Co-operative Development and Marketing	30,337,359	19,151,863	18,894,141	18,301,963
Capacity Building Services		1,000,000	735,000	551,250
Promotion of Co-operative Marketing and Value Chain		1,000,000	1,050,000	385,875
Co-operative Financial Services		500,000	525,000	385,875
Promotion and growth of Co-operative Societies		1,000,000	517,358	543,225
Co-operative Audit Support Services		500,000	525,000	551,250
TOTAL	271,361,918	250,185,779	266,249,156	268,549,389
FINANCE, ECONOMIC PLANNING AND REVENUE MANAGEMENT				
Revenue Management	409,118,593	344,988,262	346,057,313	347,008,695
Budget Formulation, Coordination and Implementation	73,195,028	64,918,108	64,094,760	33,699,498
Supply Chain Management	8,675,753	11,125,450	10,544,450	10,866,500
Accounting Services	209,912,965	238,354,824	242,396,911	248,466,757
Audit Services	12,478,471	20,174,758	16,947,334	15,627,331
Human Resource Management and Support Services	189,241,596	231,099,075	238,356,160	238,355,797
Economic Planning and Statistical Services	54,616,344	72,891,315	73,559,924	74,060,810
Monitoring and Evaluation	6,125,390	17,442,478	18,009,000	19,509,450
External Resources Mobilization	1,458,975	4,000,000	4,200,000	4,410,000
Project Delivery Unit	23,136,220	22,952,386	25,984,563	24,982,973
ICT General Administration and Support Services	39,833,045	70,102,774	79,364,413	80,530,706
ICT Infrastructure		6,649,995	6,300,000	6,615,000
Closed Circuit Television		-	-	-
Public Communication Support Services	25,693,826	106,896,000	108,769,368	109,871,250
TOTAL	1,053,486,205	1,211,595,425	1,234,584,196	1,214,004,767
GENDER, YOUTH, SPORTS AND SOCIAL WELFARE				
Youth and Sports Administrative Support Services	73,412,126	124,280,479	125,494,503	126,019,228
Gender and Social Welfare Administrative Support Services	49,180,461	78,493,319	79,174,163	80,479,529
Digital Economy	3,712,635	6,250,000	5,062,500	5,890,624
TOTAL	126,305,222	209,023,798	209,731,166	212,389,381
TRADE, INDUSTRY, TOURISM AND INNOVATION				
Trade Administrative and Support Services	18,866,672	46,388,136	48,151,846	50,264,602
Trade and External Relations	310,680		2,715,433	2,715,433
International Trade	8,767,141			
Small and Medium Sized Enterprise Development	18,554,683	41,500,000	28,107,576	11,024,386
Industrialization and Innovation	20,520,415	10,202,219	11,259,423	28,047,501
Investment Promotion	46,108,808			

County Entity/ Programme	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Tourism Administrative and Support Services	998,410	63,310,968	64,918,360	61,418,360
Heritage and Culture	6,000,000			
Liquor Management	8,285,340			
Tourism Development and Marketing	2,664,000			
Recreational Facilities Management	3,933,960	8,000,000	8,400,000	8,820,000
Machawood	999,891			
TOTAL	136,010,000	169,401,323	163,552,638	162,290,282
EDUCATION				
General Administration Planning and Support Services	617,461,490	655,073,068	657,026,233	658,854,840
Basic Education	524,896			
Vocational Training Services	52,183,116	6,550,000	6,877,500	7,221,375
Youth Empowerment		144,000,000	121,989,290	103,738,755
TOTAL	670,169,503	805,623,068	785,893,023	769,814,970
LANDS, URBAN DEVELOPMENT, HOUSING AND ENERGY				
Lands and Physical Planning	37,602,653	43,280,865	45,444,909	47,717,154
County Electrification	15,102,864	25,896,884	27,191,728	28,551,314
Housing and Urban Development	95,519,888	136,851,338	151,490,970	148,414,794
Machakos Municipality	7,464,254	16,800,000	17,640,000	18,522,000
Mavoko Municipality	6,830,107	24,800,000	26,040,000	27,342,000
Kangundo-Tala Municipality	5,000,000	14,500,000	15,224,998	15,986,248
TOTAL	167,519,766	262,129,087	283,032,605	286,533,510
DEVOLUTION				
Public Service General Administration and Support Services	612,389,170	477,286,651	478,131,423	479,962,078
Performance Management	3,246,800	5,000,000	5,250,000	-
Training, Research and Development	45,508,289	56,600,000	52,330,000	44,401,500
Human Resource Development	15,034,047			
County Administration and Decentralized Units	356,838,133	310,067,573	311,995,952	312,070,749
Civic Management	5,517,692	6,300,000	6,775,000	5,088,750
Administration and Coordination Services	1,050,000	33,550,000	26,865,000	22,408,250
Solid Waste Management	10,122,700	16,604,400	10,498,673	6,902,756
Inspectorate Management Services	150,423,460	298,338,958	300,077,367	303,926,492
Emergency Services	7,580,000	21,700,000	18,875,001	10,819,038
TOTAL	1,207,710,290	1,225,447,582	1,210,798,416	1,185,579,612
COUNTY ATTORNEY				
Legal Services	82,473,782	59,053,779	55,336,050	57,095,918
TOTAL	82,473,782	59,053,779	55,336,050	57,095,918
GRAND TOTAL	9,863,885,762	10,597,208,591	10,530,629,993	10,549,245,206

Source: Machakos County Treasury, 2025

b) Development Expenditure

County Entity/ Programme	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
OFFICE OF THE GOVERNOR				
Coordination and Supervisory Services	7,531,248	11,306,677		
Office of the Deputy Governor		3,502,201		

County Entity/ Programme		Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Office of the County Secretary			8,117,451	4,626,327	14,937,481
TOTAL		7,531,248	22,926,329	4,626,327	14,937,481
COUNTY PUBLIC SERVICE BOARD					
Human Resource and Administration Services			7,404,438	5,000,000	5,500,000
TOTAL		~	7,404,438	5,000,000	5,500,000
ROADS, TRANSPORT AND PUBLIC WORKS					
General Administration and Support Services		30,051,364	20,022,191	21,023,300	75,259,313
Road Development and Management		305,300,925	848,421,061	764,027,403	802,228,773
County Government Building Services		18,318,304	80,910,995	82,956,544	87,104,371
County Fleet Management		103,822,735	209,585,685	115,064,970	120,818,218
TOTAL		457,493,327	1,158,939,932	983,072,217	1,085,410,675
HEALTH					
General Administration and Support Services		166,180,768	285,184,904	193,493,771	203,372,388
Machakos Level 5				18,000,000	18,900,000
Kangundo Level 4				10,000,000	10,500,000
Matuu Level 4			60,941,894	63,988,989	67,188,438
Kathiani Level 4				20,000,000	21,000,000
Mwala Level 4				10,000,000	13,553,880
Kimiti Level 4				7,000,000	7,350,000
Masinga Level 4				10,000,000	10,500,000
Athi River Level 4				10,000,000	10,500,000
Mutituni Level 4				10,000,000	10,500,000
Ndithini Level 4			74,044,382	77,746,601	81,633,931
Kalama Level 4				7,000,000	7,350,000
Public Health		94,926,711	101,076,362	78,733,055	82,669,708
TOTAL		261,107,479	521,247,542	515,962,416	545,018,345
COUNTY ASSEMBLY					
Legislative Services		43,341,639	155,000,000	160,250,000	160,525,000
TOTAL		43,341,639	155,000,000	160,250,000	160,525,000
WATER, IRRIGATION, ENVIRONMENT AND CLIMATE CHANGE					
Water Resources Management		49,129,808	333,690,842	543,121,985	479,651,461
Sewerage and Sanitation Management			42,205,298	113,571,266	29,946,728
Development and Promotion of Irrigation Schemes				15,000,000	15,750,000
Environment and Natural Resources		9,471,500	9,232,427	2,220,678	11,335,315
Climate Change			271,919,728		
TOTAL		58,601,308	657,048,295	673,913,929	536,683,504
AGRICULTURE, FOOD SECURITY AND CO-OPERATIVE DEVELOPMENT					
General Administration and Support Services		89,872,053	159,761,890	159,924,227	160,094,681
Crop Development and Management			53,311,955	55,977,553	58,776,430
Livestock Resources Management and Development			28,507,087	29,932,442	31,429,064
Fisheries Development			32,994,865	34,031,486	35,119,939
Veterinary Services			21,398,827	22,468,768	23,592,207

County Entity/ Programme		Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Agriculture Training Centre			14,808,877	15,549,320	16,326,786
Co-operative Development and Marketing		5,595,695	11,847,101	6,475,489	6,799,264
Promotion of Co-operative Marketing and Value Chain			1,480,888		
Promotion and growth of Co-operative Societies			5,183,106	5,442,261	30,472,877
TOTAL		95,467,748	329,294,596	329,801,546	362,611,248
FINANCE, ECONOMIC PLANNING AND REVENUE MANAGEMENT					
Revenue Management		2,714,450	39,243,522	38,873,300	40,816,965
Budget Formulation, Coordination and Implementation			43,686,185	45,372,207	48,164,019
Accounting Services		561,017,633	333,199,718	463,330,184	449,949,000
Economic Planning and Statistical Services			26,203,688		
Monitoring and Evaluation			3,414,064	3,702,219	3,702,219
Project Delivery Unit			1,110,666		
ICT General Administration and Support Services		14,165,091	75,891,483		22,308,513
Public Communication Support Services			14,404,439	15,124,660	15,880,893
TOTAL		577,897,174	537,153,765	566,402,570	580,821,609
GENDER, YOUTH, SPORTS AND SOCIAL WELFARE					
Gender and Social Welfare Administrative Support Services		4,480,418	123,662,134	129,845,241	136,337,503
Stadia Management			6,663,994	6,997,194	7,347,054
Sports Management		52,309,331	126,615,893	122,446,687	128,569,022
Youth Empowerment			7,404,438	7,774,660	26,796,978
Digital Economy			18,511,096	16,197,114	13,061,429
TOTAL		56,789,749	282,857,555	283,260,896	312,111,986
TRADE, INDUSTRY, TOURISM AND INNOVATION					
Trade and External Relations		9,366,372	37,130,404	38,986,924	40,936,270
Small and Medium Sized Enterprise Development		33,337,652	48,020,635	119,295,773	95,408,483
Industrialization and Innovation		137,577,054	25,044,382	57,813,614	
Tourism Administrative and Support Services			3,780,433		64,132,453
Machawood			38,054,642	6,106,104	
TOTAL		180,281,078	152,030,496	222,202,415	200,477,206
EDUCATION					
General Administration Planning and Support Services		32,974,677	52,571,511	55,200,087	57,960,091
Basic Education			10,202,799	10,712,939	11,248,586
Youth Development Services		33,910,830	44,426,629	45,904,761	42,609,109
TOTAL		66,885,507	107,200,939	111,817,787	111,817,786
LANDS, URBAN DEVELOPMENT, HOUSING AND ENERGY					
Lands and Physical Planning			40,724,410	127,661,990	12,245,089
County Electrification		85,097,346	87,372,370		
Housing and Urban Development			91,285,232	95,849,493	100,641,968
Machakos Municipality		2,840,000	4,442,663	4,516,707	4,594,454
Mavoko Municipality		6,988,020	3,702,219	3,887,330	4,081,697
Kangundo-Tala Municipality		471,000	3,702,219	7,810,230	113,513,813
TOTAL		95,396,365	231,229,113	239,725,750	235,077,021
DEVOLUTION					
Public Service General			6,108,661	6,414,094	

County Entity/ Programme		Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Administration and Support Services					
County Administration and Decentralized Units			401,591,425	391,648,341	365,113,227
Civic Management		8,222,494	6,038,248	11,340,161	
Administration and Coordination Services		26,160,976			
Solid Waste Management			2,221,331	2,500,000	
Inspectorate and Fire Fighting Services		8,379,585	14,382,247	188,690	
TOTAL		42,763,055	430,341,912	412,091,286	365,113,227
COUNTY ATTORNEY					
	Legal Services		3,702,219	5,000,000	5,000,000
TOTAL		~	3,702,219	5,000,000	5,000,000
GRAND TOTAL		1,943,555,678	4,596,377,131	4,513,127,139	4,521,105,088

Source: Machakos County Treasury, 2025

Annex 5: Expenditure by Sector in the Medium Term

Sector	County Entity	Vote	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Agriculture and Co-operative Development	Co-operatives Development	Recurrent	30,337,359	23,151,863	22,246,499	20,719,438
		Development t	5,595,695	18,511,095	11,917,750	37,272,141
		Total	35,933,054	41,662,958	34,164,249	57,991,579
	Livestock & Fisheries	Recurrent	-	72,234,382	74,964,101	78,546,931
		Development t	-	82,900,779	86,432,696	90,141,210
		Total	-	155,135,161	161,396,797	168,688,141
	Agriculture and Food Security	Recurrent	241,024,559	154,799,534	169,038,556	169,283,020
		Development t	89,872,053	227,882,722	231,451,100	235,197,897
		Total	330,896,612	382,682,256	400,489,656	404,480,917
Sector Sub-Total			366,829,666	579,480,375	596,050,702	631,160,637
Energy, Infrastructure and ICT	Roads and Transport	Recurrent	235,456,918	260,879,278	258,313,834	262,357,946
		Development t	439,175,023	1,078,028,937	900,115,673	998,306,304
		Total	674,631,941	1,338,908,215	1,158,429,507	1,260,664,250
	Housing and Urban Development	Recurrent	114,814,249	192,951,338	210,395,968	210,265,042
		Development t	10,299,020	103,132,333	112,063,760	222,831,932
		Total	125,113,269	296,083,671	322,459,728	433,096,974
	Public Works	Recurrent	14,549,646	6,000,000	10,288,105	5,622,750
		Development t	18,318,304	80,910,995	82,956,544	87,104,371
		Total	32,867,950	86,910,995	93,244,649	92,727,121
	Digital Economy	Recurrent	3,712,635	6,250,000	5,062,500	5,890,624
		Development t	-	18,511,096	16,197,114	13,061,429
		Total	3,712,635	24,761,096	21,259,614	18,952,053
	Energy	Recurrent	15,102,864	25,896,884	27,191,728	28,551,314
		Development t	85,097,346	87,372,370	-	-
		Total	100,200,210	113,269,254	27,191,728	28,551,314
	ICT	Recurrent	39,833,045	76,752,769	85,664,413	87,145,706
		Development t	14,165,091	75,891,483	-	22,308,513
		Total	53,998,136	152,644,252	85,664,413	109,454,219
Sector Sub-Total			990,524,141	2,012,577,483	1,708,249,639	1,943,445,931
Commercial, Tourism and Labour Affairs	Trade and External Relations	Recurrent	27,944,493	46,388,136	50,867,279	52,980,035
		Development t	9,366,372	37,130,404	38,986,924	40,936,270
		Total	37,310,865	83,518,540	89,854,203	93,916,305
	Industry and Innovation	Recurrent	66,629,223	10,202,219	11,259,423	28,047,501
		Development t	137,577,054	25,044,382	57,813,614	-
		Total	204,206,277	35,246,601	69,073,037	28,047,501
	SME	Recurrent	18,554,683	41,500,000	28,107,576	11,024,386
		Development t	33,337,652	48,020,635	119,295,773	95,408,483
		Total	51,892,335	89,520,635	147,403,349	106,432,869
	Culture and Tourism	Recurrent	22,881,601	71,310,968	73,318,360	70,238,360
		Development t	-	41,835,075	6,106,104	64,132,453
		Total	22,881,601	113,146,043	79,424,464	134,370,813
Sector Sub-Total			316,291,078	321,431,819	385,755,053	362,767,488
Health	Health	Recurrent	4,211,857,057	4,201,906,177	4,117,154,467	4,173,576,700

Sector	County Entity	Vote	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
		Developmen t	261,107,479	521,247,542	515,962,416	545,018,345
		Total	4,472,964,536	4,723,153,719	4,633,116,883	4,718,595,045
Public Administratio n	Office of the Governor	Recurrent	596,053,066	784,108,377	784,108,377	784,108,377
		Developmen t	7,531,248	22,926,329	4,626,327	14,937,481
		Total	603,584,314	807,034,706	788,734,704	799,045,858
	Finance	Recurrent	493,503,813	565,672,215	572,339,615	547,015,883
		Developmen t	561,017,633	376,885,903	508,702,391	498,113,019
		Total	1,054,521,446	942,558,118	1,081,042,006	1,045,128,902
	Revenue Management	Recurrent	409,118,593	344,988,262	346,057,313	347,008,695
		Developmen t	2,714,450	39,243,522	38,873,300	40,816,965
		Total	411,833,043	384,231,784	384,930,613	387,825,660
	Economic Planning	Recurrent	85,336,928	117,286,179	121,753,487	122,963,233
		Developmen t	-	30,728,418	3,702,219	3,702,219
		Total	85,336,928	148,014,597	125,455,706	126,665,452
	Public Service and Performance Management	Recurrent	676,178,306	538,886,651	535,711,423	524,363,578
		Developmen t	-	6,108,661	6,414,094	-
		Total	676,178,306	544,995,312	542,125,517	524,363,578
	County Attorney	Recurrent	82,473,782	59,053,779	55,336,050	57,095,918
		Developmen t	-	3,702,219	5,000,000	5,000,000
		Total	82,473,782	62,755,998	60,336,050	62,095,918
	County Public Service Board	Recurrent	35,209,897	43,276,101	43,276,101	43,276,101
		Developmen t	-	7,404,438	5,000,000	5,500,000
		Total	35,209,897	50,680,539	48,276,101	48,776,101
	Decentralized Units and County Administration	Recurrent	357,888,133	343,617,573	338,860,952	334,478,999
		Developmen t	26,160,976	401,591,425	391,648,341	365,113,227
		Total	384,049,109	745,208,998	730,509,293	699,592,226
	Inspectorate, and Emergency Services	Recurrent	158,003,460	320,038,958	318,952,368	314,745,529
		Developmen t	8,379,585	14,382,247	188,690	-
		Total	166,383,044	334,421,205	319,141,058	314,745,529
	Civic Engagement	Recurrent	5,517,692	6,300,000	6,775,000	5,088,750
		Developmen t	8,222,494	6,038,248	11,340,161	-
		Total	13,740,185	12,338,248	18,115,161	5,088,750
	Public Communicatio n	Recurrent	25,693,826	106,896,000	108,769,368	109,871,250
		Developmen t	-	14,404,439	15,124,660	15,880,893
		Total	25,693,826	121,300,439	123,894,028	125,752,143
	County Assembly	Recurrent	924,156,118	967,857,996	964,156,126	969,156,126
		Developmen t	43,341,639	155,000,000	160,250,000	160,525,000
		Total	967,497,757	1,122,857,996	1,124,406,126	1,129,681,126
Sector Sub-Total			4,506,501,637	5,276,397,940	5,346,966,363	5,268,761,243
Education and Social Welfare	Education	Recurrent	670,169,503	805,623,068	785,893,023	769,814,970
		Developmen t	66,885,507	107,200,939	111,817,787	111,817,786
		Total	737,055,009	912,824,007	897,710,810	881,632,756

Sector	County Entity	Vote	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
	Youth and Sports	Recurrent	73,412,126	124,280,479	125,494,503	126,019,228
		Developmen t	52,309,331	140,684,325	137,218,541	162,713,054
		Total	125,721,456	264,964,804	262,713,044	288,732,282
	Gender and Social Welfare	Recurrent	49,180,461	78,493,319	79,174,163	80,479,529
		Developmen t	4,480,418	123,662,134	129,845,241	136,337,503
		Total	53,660,880	202,155,453	209,019,404	216,817,032
Sector Sub-Total			916,437,345	1,379,944,264	1,369,443,258	1,387,182,070
Water and Irrigation	Water and Irrigation	Recurrent	102,453,338	86,714,346	95,907,583	109,185,981
		Developmen t	49,129,808	333,690,842	558,121,985	495,401,461
		Total	151,583,147	420,405,188	654,029,568	604,587,442
	Sewerage, Sanitation and Waste Management	Recurrent	14,771,458	31,144,676	26,044,208	23,773,068
		Developmen t	-	44,426,629	116,071,266	29,946,728
		Total	14,771,458	75,571,305	142,115,474	53,719,796
Sector Sub-Total			166,354,605	495,976,493	796,145,042	658,307,238
Lands, Environment and Natural Resources	Lands and Physical Planning	Recurrent	37,602,653	43,280,865	45,444,909	47,717,154
		Developmen t	-	40,724,410	127,661,990	12,245,089
		Total	37,602,653	84,005,275	173,106,899	59,962,243
	Environment	Recurrent	11,813,988	10,945,370	14,682,853	10,000,000
		Developmen t	9,471,500	9,232,427	2,220,678	11,335,315
		Total	21,285,488	20,177,797	16,903,531	21,335,315
	Climate Change	Recurrent	12,650,291	28,520,829	18,019,762	18,833,084
		Developmen t	-	271,919,728	-	-
		Total	12,650,291	300,440,557	18,019,762	18,833,084
Sector Sub-Total			71,538,431	404,623,629	208,030,192	100,130,642
TOTAL RECURRENT			9,863,885,762	10,597,208,591	10,530,629,993	10,549,245,206
TOTAL DEVELOPMENT			1,943,555,678	4,596,377,131	4,513,127,139	4,521,105,088

Source: Machakos County Treasury, 2025

Annex 6: Expenditure by Economic Classification in the Medium Term

i. Recurrent Expenditure

County Entity	Item	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Office of the Governor	Compensation to Employees	183,652,044	190,888,808	192,918,328	192,918,328
	Use of Goods and Services	412,401,022	593,219,568	591,190,048	591,190,048
	Current Grants				
	Total	596,053,066	784,108,376	784,108,376	784,108,376
County Public Service Board	Compensation to Employees	32,410,927	35,955,418	36,703,189	37,396,369
	Use of Goods and Services	2,798,970	7,320,683	6,572,912	5,879,732
	Current Grants				
	Total	35,209,897	43,276,101	43,276,101	43,276,101
Roads, Transport and Public Works	Compensation to Employees	184,098,967	184,879,278	185,117,358	186,023,226
	Use of Goods and Services	65,907,597	82,000,000	83,484,581	81,957,470
	Current Grants				
	Total	250,006,564	266,879,278	268,601,939	267,980,696
Health	Compensation to Employees	3,444,262,543	3,401,357,497	3,402,544,502	3,403,826,836
	Use of Goods and Services	767,594,514	717,298,680	631,359,965	686,499,864
	Current Grants		83,250,000	83,250,000	83,250,000
	Total	4,211,857,057	4,201,906,177	4,117,154,467	4,173,576,700
County Assembly	Compensation to Employees	525,023,054	543,435,337	558,199,582	584,585,806
	Use of Goods and Services	399,133,064	424,422,659	405,956,544	384,570,320
	Current Grants				
	Total	924,156,118	967,857,996	964,156,126	969,156,126
Water, Irrigation, Environment and Climate Change	Compensation to Employees	98,543,336	102,680,821	103,128,178	104,701,779
	Use of Goods and Services	33,023,040	27,040,000	30,027,555	39,187,598
	Current Grants		11,000,000	11,000,000	11,000,000
	Total	131,566,375	140,720,821	144,155,733	154,889,377
Agriculture, Food Security and Co-operative Development	Compensation to Employees	234,338,716	231,622,973	232,089,448	233,103,321
	Use of Goods and Services	37,023,202	18,562,806	34,159,708	35,446,068
	Current Grants				

County Entity	Item	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
	Total	271,361,918	250,185,779	266,249,156	268,549,389
Finance, Economic Planning and Revenue Management	Compensation to Employees	578,939,307	572,126,257	573,025,439	573,025,439
	Use of Goods and Services	474,546,897	637,851,979	659,941,568	639,362,139
	Current Grants		1,617,189	1,617,189	1,617,189
	Total	1,053,486,205	1,211,595,425	1,234,584,196	1,214,004,767
Gender, Youth, Sports and Social Welfare	Compensation to Employees	55,329,312	57,025,097	58,876,352	59,870,169
	Use of Goods and Services	70,975,910	151,998,701	150,854,814	152,519,212
	Current Grants				
	Total	126,305,222	209,023,798	209,731,166	212,389,381
Trade, Industry, Tourism and Innovation	Compensation to Employees	58,523,501	72,537,726	73,205,206	73,568,587
	Use of Goods and Services	77,486,498	96,863,597	90,347,432	88,721,695
	Current Grants				
	Total	136,010,000	169,401,323	163,552,638	162,290,282
Education	Compensation to Employees	348,320,494	390,573,068	391,101,721	392,606,807
	Use of Goods and Services	321,849,009	415,050,000	394,791,302	377,208,163
	Current Grants				
	Total	670,169,503	805,623,068	785,893,023	769,814,970
Lands, Urban Development, Housing and Energy	Compensation to Employees	97,443,512	121,611,325	122,476,983	123,250,832
	Use of Goods and Services	70,076,254	96,700,353	125,555,622	128,282,678
	Current Grants		43,817,410	35,000,000	35,000,000
	Total	167,519,766	262,129,088	283,032,605	286,533,510
Devolution	Compensation to Employees	747,625,375	599,966,440	600,603,055	601,644,247
	Use of Goods and Services	460,084,915	587,981,142	572,695,361	546,435,365
	Current Grants		37,500,000	37,500,000	37,500,000
	Total	1,207,710,290	1,225,447,582	1,210,798,416	1,185,579,612
County Attorney	Compensation to Employees	21,708,625	23,053,779	23,501,088	24,826,142
	Use of Goods and Services	60,765,157	36,000,000	31,834,962	32,269,776
	Current Grants				
	Total	82,473,782	59,053,779	55,336,050	57,095,918
Total Compensation to		6,610,219,714	6,527,713,824	6,553,490,429	6,591,347,888

County Entity	Item	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Employees					
Total Net Use of goods and services		3,253,666,048	3,892,310,168	3,808,772,373	3,789,530,128
Total Net Current Grants		~	177,184,599	168,367,189	168,367,189
TOTAL NET EXPENDITURE		9,863,885,762	10,597,208,591	10,530,629,992	10,549,245,205

ii. Development Expenditure

County Entity	Details	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Office of the Governor	Acquisition of Non-Financial Assets	7,531,248	22,926,329	4,626,327	14,937,481
	Capital Grants				
	Total Development	7,531,248	22,926,329	4,626,327	14,937,481
County Public Service Board	Acquisition of Non-Financial Assets	~	7,404,438	5,000,000	5,500,000
	Capital Grants				
	Total Development	~	7,404,438	5,000,000	5,500,000
Roads, Transport and Public Works	Acquisition of Non-Financial Assets	457,493,327	1,047,814,832	983,072,217	1,085,410,675
	Capital Grants		111,125,100	~	~
	Total Development	457,493,327	1,158,939,932	983,072,217	1,085,410,675
Health	Acquisition of Non-Financial Assets	256,379,731	477,698,792	504,018,666	533,074,595
	Capital Grants	4,727,747	43,548,750	11,943,750	11,943,750
	Total Development	261,107,479	521,247,542	515,962,416	545,018,345
County Assembly	Acquisition of Non-Financial Assets	43,341,639	155,000,000	160,250,000	160,525,000
	Capital Grants				
	Total Development	43,341,639	155,000,000	160,250,000	160,525,000
Water, Irrigation, Environment and Climate Change	Acquisition of Non-Financial Assets	58,601,308	519,548,295	536,413,929	399,183,504
	Capital Grants		137,500,000	137,500,000	137,500,000
	Total Development	58,601,308	657,048,295	673,913,929	536,683,504
Agriculture, Food Security and Co-operative Development	Acquisition of Non-Financial Assets	95,467,748	165,517,006	166,023,956	198,833,658
	Capital Grants		163,777,590	163,777,590	163,777,590
	Total Development	95,467,748	329,294,596	329,801,546	362,611,248

County Entity	Details	Actual Performance FY 2024/2025	Printed Estimates FY 2025/2026	Projected Estimates FY 2026/2027	Projected Estimates FY 2027/2028
Finance, Economic Planning and Revenue Management	Acquisition of Non-Financial Assets	577,897,174	537,153,765	566,402,570	580,821,609
	Capital Grants				
	Total Development	577,897,174	537,153,765	566,402,570	580,821,609
Gender, Youth, Sports and Social Welfare	Acquisition of Non-Financial Assets	56,789,749	282,857,555	283,260,896	312,111,986
	Capital Grants				
	Total Development	56,789,749	282,857,555	283,260,896	312,111,986
Trade, Industry, Tourism and Innovation	Acquisition of Non-Financial Assets	42,704,024	152,030,496	222,202,415	200,477,206
	Capital Grants	137,577,054			
	Total Development	180,281,078	152,030,496	222,202,415	200,477,206
Education	Acquisition of Non-Financial Assets	66,885,507	107,200,939	111,817,787	111,817,786
	Capital Grants				
	Total Development	66,885,507	107,200,939	111,817,787	111,817,786
Lands, Urban Development, Housing and Energy	Acquisition of Non-Financial Assets	95,396,365	141,054,547	149,551,184	144,902,455
	Capital Grants		90,174,566	90,174,566	90,174,566
	Total Development	95,396,365	231,229,113	239,725,750	235,077,021
Devolution	Acquisition of Non-Financial Assets	42,763,055	77,841,912	59,591,286	12,613,227
	Capital Grants		352,500,000	352,500,000	352,500,000
	Total Development	42,763,055	430,341,912	412,091,286	365,113,227
County Attorney	Acquisition of Non-Financial Assets	~	3,702,219	5,000,000	5,000,000
	Capital Grants				
	Total Development	~	3,702,219	5,000,000	5,000,000
Total Acquisition of Non-Financial Assets		1,801,250,876	3,697,751,125	3,757,231,233	3,765,209,182
Total Capital Grants		142,304,801	898,626,006	755,895,906	755,895,906
TOTAL NET EXPENDITURE		1,943,555,678	4,596,377,131	4,513,127,139	4,521,105,088

Annex 7: Machakos County Sector Composition

Sector	County Entity
Agriculture and Co-operative Development	• Agriculture and Food Security. • Livestock and Fisheries; • Co-operative Development
Energy, Infrastructure and ICT	• Energy, • Roads & Transport; • Public Works, • ICT; • Urban Development and Housing; • Digital Economy;
Commercial, Tourism and Labour Affairs	• Trade and External Relations; • Culture & Tourism; • Small and Medium Enterprise Development; • Industry and Innovation
Health	• Medical Services, • Public Health;
Public Administration	• Office of the Governor; • County Administration and Decentralized Units; • Public Service and Performance Management; Inspectorate, Firefighting and Emergency Services; • Public Participation, Civic Engagement and Customer Service; • Finance; • Revenue Management; • Economic Planning; • Public Communication and E-Government; • County Public Service Board; • County Attorney; • County Assembly
Education, Youth and Social Welfare	• Education, • Vocational Training; • Youth & Sports • Gender & Social Welfare
Water and Irrigation	• Water and Irrigation; Sanitation, Sewerage and Waste Management
Land, Environment and Natural Resources	• Lands & Physical Planning; • Environment and Natural Resources; • Climate Change;

Source: Machakos County Integrated Development Plan 2023-2027

Annex 8: Machakos County Budget Calendar FY 2026/2027

No.	Activity	Responsibility	Timeline
1.	Issue guidelines for preparation of FY 2026/2027 and Medium-Term County Budget Estimates (<i>Sec. 128 (2)</i>)	County Executive Committee Member for Finance (CECMF)	30 th August 2025
2.	Submission of Annual Development Plan (ADP) for FY 2026/2027 to the County Assembly for approval (<i>Sec. 126 (3)</i>)	CECM responsible for Planning	1 st September, 2025
3.	Submission of CBROP-2025 to County Executive Committee (<i>Sec. 118 (1b)</i>)	County Treasury	30 th September 2025
4.	Approval of CBROP 2025 (<i>Sec. 118 (3)</i>)	County Executive Committee	14 th October, 2025
5.	Submission of CBROP-2025 to County Assembly (<i>Sec. 118 (4)</i>)	County Treasury	21 st October, 2025
6.	Submission of CFSP- 2026 to County Executive Committee	County Treasury	14 th February, 2026
7.	Submission of CFSP-2026 to County Assembly (<i>Sec. 117 (1)</i>)	County Treasury	28 th February, 2026
8.	Approval of CFSP-2026 (<i>Sec. 117(6) & Reg. 30 (4)</i>)	County Assembly	15 th March, 2026
9.	Submission of Budget Proposals for FY 2026/2027 to County Treasury (<i>Reg. 30(6)</i>)	Accounting Officers	10 th April, 2026
10.	Submission of Budget Estimates for FY 2026/2027 to County Executive Committee (<i>Sec. 129 (1) & Reg. 30(7)</i>)	County Treasury	20 th April, 2026
11.	Submission of Budget Estimates for FY 2026/2027 to County Assembly (<i>Sec. 129 (2a) & Reg. 30(8)</i>)	CECMF	30 th April, 2026
12.	Submission of County Finance Bill to County Assembly (<i>Sec. 132 (2)</i>)	CECMF	June, 2026
13.	Approval of the Budget Estimates for FY 2026/2027 (<i>Sec. 131 (1)</i>)	County Assembly	30 th June, 2026
14.	Approval of County Finance Bill (<i>Sec. 133</i>)	County Assembly	30 th September, 2026

Source: PFM Act 2012